2O25 FIRST QUARTER

BUDGET IMPLEMENTATION REPORT

BUDGET OFFICE OF THE FEDERATION

MINISTRY OF BUDGET AND ECONOMIC PLANNING

FOREWORD

This 2025 First Quarter Budget Implementation Report (BIR) is produced by the Budget Office of the Federation (BOF) in compliance with the Fiscal Responsibility Act, 2007. It reflects the Federal Government's continued commitment to transparency, accountability, and sound public financial management.

The report offers a comprehensive review of Nigeria's macroeconomic and fiscal performance in Q1 2025. The economy recorded a real GDP growth of 3.13%, driven primarily by the services and non-oil sectors. Inflation declined to 24.23% as well as external reserves to $37.82 billion. Revenue shortfalls persisted in oil receipts and non-oil revenues respectively. Total FG revenue stood at ₦4.95 trillion, and expenditure reached ₦8.00 trillion, resulting in a fiscal deficit of ₦3.04 trillion, financed wholly by domestic borrowing.

Despite fiscal pressures, the government prioritized capital investment, highlighting the ongoing imperative to strengthen domestic revenue mobilization and ensure fiscal sustainability.

This report is the result of collaboration among financial and statistical agencies, with particular recognition of the Budget Monitoring and Evaluation Department. It provides policymakers, stakeholders, and the public with reliable data and analysis to inform decision-making and advance Nigeria's development goals.

Sen. Abubakar Atiku Bagudu, CON
Honourable Minister, Budget and Economic Planning.

PREFACE

The 2025 First Quarter Budget Implementation Report presents a transparent, data-driven assessment of Federal Government fiscal operations in compliance with Sections 30 and 50 of the Fiscal Responsibility Act, 2007. The Report is intended both as a statutory accountability instrument and as a technical performance evaluation framework to support timely policy recalibration and mid-course corrections.

Macroeconomic Context

- **Real GDP Growth:**

  Real GDP grew by 3.13% year-on-year in Q1 2025, driven primarily by the services sector (+4.33%), with additional contributions from the oil sector (+1.87%) and non-oil real sector activities (+3.19%).

- **Inflation:**

  Headline inflation rose to 24.23% (y/y) in March 2025, reflecting persistent structural food supply constraints, exchange rate pass-through effects, and elevated logistics and energy costs.

- **Oil Production:**

  Average crude oil production stood at 1.60 mbpd, below the budget benchmark of 2.12 mbpd, with adverse implications for oil-related revenue inflows and external reserves accretion.

Fiscal Performance (January–March 2025)

- **Aggregate FGN Revenue:**

  Total Federation-accounted FGN revenue for Q1 2025 was ₦4.95 trillion, representing 48.50% of the prorated budget target for the period.

- **Oil Revenue:**

  Oil revenue amounted to ₦1.94 trillion, accounting for 36.90% of aggregate FGN revenue and falling 63.10% short of the prorated target, driven primarily by Nigeria's structurally high and globally uncompetitive upstream production cost regime and persistent defaults on royalties and other statutory payments, with lower-than-projected output and price playing a comparatively smaller role.

- **Non-Oil Revenue:**

Non-oil revenue was ₦6.44 trillion (76.89% of total), outperforming projections on the back of stronger collections from Value Added Tax (VAT), the Electronic Money Transfer Levy (EMTL), and improved remittance performance by Government-Owned Enterprises (GOEs).

- **Aggregate Expenditure:**

Total expenditure (inclusive of GOEs and project-tied loan-funded spending) was ₦8.00 trillion, against a prorated budget of ₦12.22 trillion for the period, indicating under-execution relative to plan.

- **Capital Releases:**

Capital releases to MDAs during the quarter under review amounted to ₦34.32 billion, signalling a slow start to capital budget implementation.

- **Non-Debt Recurrent Expenditure:**

Non-debt recurrent spending was ₦2.24 trillion, largely driven by personnel costs, overheads, and statutory transfers.

- **Debt Service:**

Debt service payments totalled ₦4.78 trillion, exceeding the prorated target by 33.65%, primarily due to higher domestic debt service obligations.

- **Fiscal Deficit:**

The overall fiscal deficit was ₦3.04 trillion, marginally below the prorated projection, and was financed predominantly through domestic borrowing instruments.

Key Technical Observations

1. **Persistent Oil Revenue Vulnerability**

Continued volatility in oil-related receipts is exposing fiscal outcomes to recurrent negative shocks. Structural underperformance in oil revenue persists despite relatively supportive market prices, reflecting a combination of high and globally uncompetitive upstream production costs, weak enforcement of royalty and other statutory payment obligations, and lingering production and security challenges.

2. Strengthening Non-Oil Revenue Performance

The strong outturn in non-oil revenue validates ongoing administrative and policy reforms, particularly in compliance enforcement, customs automation, and the tightening of independent revenue remittance frameworks for GOEs.

3. Elevated Debt Service Burden

The debt service-to-revenue ratio remains at an elevated level, significantly constraining fiscal space for growth-enhancing and social expenditures. This reinforces the need for accelerated domestic revenue mobilisation and expenditure reprioritisation toward high-impact programmes.

4. Cash Management and Execution Constraints

Cash management bottlenecks—including delays linked to the transition toward bottom-up cash planning and disbursement—continue to slow project execution, compress implementation windows, and increase the risk of cost overruns on capital projects.

Reform and Policy Priorities

- Benchmark Realism:

Align oil production benchmarks with verifiable production capacity and realistic operational assumptions, while adopting conservative oil price benchmarks to enhance fiscal resilience against external shocks.

- **Revenue Expansion:**

Deepen compliance and enforcement measures, rationalise tax expenditures and incentives, fast-track the full rollout of e-Customs and related digital platforms, and further optimise independent revenue collection and remittance by GOEs.

- **Expenditure Efficiency:**

  Institutionalise value-for-money and performance audits; strengthen project selection and appraisal frameworks; and prioritise capital projects with clear, measurable economic and social returns.

- **Debt Management:**

  Target a progressive reduction in the debt service-to-revenue ratio to sustainable thresholds by 2025 through a combination of robust revenue growth, improved liability management, and increased use of concessional and semi-concessional financing.

- **Process Optimisation:**

  Streamline and standardise cash release and commitment control processes to improve predictability, reduce implementation lags, and support timely delivery of budgeted projects and programmes.

Outlook

Global and domestic headwinds—including commodity price volatility, climate-related shocks, and tighter global financial conditions driven by monetary policy in advanced economies—will continue to test Nigeria's fiscal resilience. In this context, the Budget Office will sustain rigorous budget monitoring, strengthen inter-agency data integration, and uphold transparent public reporting. These efforts are geared towards ensuring that fiscal policy remains aligned with the macroeconomic stability objectives of the National Development Plan (2021–2025) and the strategic commitments of the "Budget of Restoration: Securing Peace, Rebuilding Prosperity."

Tanimu Yakubu
Director General, Budget Office of the Federation

TABLE OF CONTENTS

TABLE OF ACRONYMS

A/C:	Account
AIE:	Authority to Incur Expenditure
AF:	Alternative Funding
AEs:	Advanced Economies
B:	Billion
BDC:	Bureau De-Change
BOF:	Budget Office of the Federation
BREXIT:	British Exit
CBN:	Central Bank of Nigeria
CIT:	Company Income Tax
COVID-19:	Corona Virus Disease - 2019
DMO:	Debt Management Office
ECA:	Excess Crude Account
EMDEs:	Emerging Markets and Developing Economies
EMEs:	Emerging Markets Economies
FAAC:	Federation Account Allocation Committee
FGN:	Federal Government of Nigeria
FMFBNP:	Federal Ministry of Finance, Budget and National Planning
GDP:	Gross Domestic Product
IMF:	International Monetary Fund
INEC:	Independent National Electoral Commission
JVC:	Joint Venture
LNG:	Liquefied Natural Gas
M2:	Money Supply
MB&EP:	Ministry of Budget and Economic Planning
MBPD:	Million Barrels Per Day

MDAs:	Ministries, Departments and Agencies
MPR:	Monetary Policy Rate
MSMS:	Micro, Small and Medium Scale
MTFF:	Medium Term Fiscal Framework
N:	Naira
NBS:	National Bureau of Statistics
NDDC:	Niger Delta Development Commission
NHRC:	National Human Rights Commission
NJC:	National Judiciary Commission
NNPC:	Nigerian National Petroleum Company
NTB:	Nigerian Treasury Bills
OAGF:	Office of the Account General of the Federation
ONSA:	Office of National Security Adviser
OPEC:	Organization of Petroleum Exporting Countries
OTC-FMDQ-OTC:	Over the Counter Financial Market Dealer Quotation
PCC:	Public Complaint Commission
PPT:	Petroleum Profit Tax
PSC:	Production Sharing Contracts
SC:	Service Contracts
SITC:	Standard International Trade Classification
SWF:	Sovereign Wealth Fund
TSA:	Treasury Single Account
UBEC:	Universal Basic Education Commission
US:	United States
VAT:	Value Added Tax
WEO:	World Economic Outlook
ZBB:	Zero Base Budgeting

LIST OF TABLES

LIST OF FIGURES

EXECUTIVE SUMMARY

The Federal Budget is an important tool for achieving Government's strategic objectives and plans for the socio-economic development of the nation. It contains the allocation of resources to different sectors/agencies by the Government in its effort to deliver public goods/services to the people. The 2025 Budget was prepared taking into consideration the policies/strategies contained in the 2025-2027 Medium Term Expenditure Framework (MTEF) and Fiscal Strategy Paper (FSP) which provided the economic framework for the 2025 Budget, along with fiscal policy objectives and spending priorities of the Government over the three-year period.

The 2025 Budget was titled "Budget of Restoration: Securing Peace, Rebuilding Prosperity." It focuses on stabilizing the economy, improving lives, and laying a foundation for long-term growth under the Renewed Hope Agenda. The allocations to MDAs were guided by the strategic objectives of the National Development Plan 2021 to 2025, which are: Diversifying the economy, with robust MSME growth; Investing in critical infrastructure; Strengthening security and ensuring good governance; Enabling a vibrant, educated and healthy populace; Reducing poverty; and minimizing regional, economic and social disparities.

Gross Domestic Product (GDP) grew by 3.13 percent (year-on-year) in real terms in the first quarter of 2025. This growth rate is higher than the 2.27 percent recorded in the first quarter of 2024. The performance of the GDP in the quarter under review was driven mainly by the services sector, which grew by 4.33 percent and contributed 57.50 percent to the aggregate GDP.

Headline inflation rate stood at 24.23 percent as at March 2025. On a year-on-year basis, the Headline inflation rate was 8.97 percentage points lower than the rate recorded in March 2024 (33.20 percent). The Food inflation rate in March 2025 was 21.79 percent on a year-on-year basis which was 18.31 and 18.05 percentages points lower compared to the 40.01 percent recorded in March, 2024 and 39.84 percent in the preceding quarter of 2024. The "All items less farm produces and energy" or Core inflation stood at 24.43 percent in March 2025 on a year-on-year basis which is 1.47 and 4.85 percentages points lower than the 25,90 and 39.84 percents recorded in

March (correspondent quarter) and December (preceding quarter), 2024 respectively

Monetary aggregates increased in the review period relative to the fourth quarter of 2024. Broad Money Supply (M2) increased by ₦2.46 trillion (2.17 percent) in December, 2024 to ₦115.79 trillion in March, 2025. Net Domestic Asset (NDA) decreased by 16.24 percentage (₦13.22 trillion) from ₦81.39 trillion in December, 2024 to ₦68.18 trillion in March 2025.The development in NDA was due to the decline in Net Domestic Credit (NDC) during the review period. Net Domestic Credit (NDC) decreased by 4.37 percent (₦4.59 trillion) from ₦105.16 trillion in December, 2024 to ₦100.57 trillion in March, 2025.

The decrease in Net Domestic Credit (NDC) was driven by the reduction in Net Credit to Government and Credit to Private Sector during the period under review. Net Credit to Government decreased by 9.4 percent (₦2.55 trillion) from ₦27.14 trillion in December, 2024 to ₦24.59 trillion in March, 2025. Similarly, Credit to Private Sector decreased by 2.62 percent (₦2.04 trillion) from ₦78.02 trillion in December, 2024 to ₦75.98 trillion in March, 2025,

The Central Bank of Nigeria retained the Monetary Policy Rate (MPR) at 27.50 in the review period. The asymmetric corridor around the MPR was also retained at +500/-100 basis points. The Cash Reserve Ratio (CRR) remained at 50.00 percent during the period, while the Liquidity Ratio was equally retained at 30.0 percent.

Total external merchandise trade stood at ₦36.02 trillion in Q1, 2025. This represents an increase of 6.19% compared to the value of ₦33.93 trillion recorded in the corresponding period of 2024 but a decrease of 1.58% compared to the value recorded in the preceding quarter (₦36.60 trillion). In the quarter under review, exports accounted for 57.18% of total trade with a value of ₦20.60 trillion, showing an increase of 7.42% over the value recorded in the corresponding quarter of 2024 (₦19.18 trillion) and by 2.92% compared to the value recorded in Q4, 2024 (₦20.01 trillion). Further analysis shows that Nigeria's exports trade continued to be dominated by crude oil in the first quarter of 2025 valued at ₦12.95 trillion representing

62.89% of total exports while the value of non-crude oil exports stood at ₦7.64 trillion accounting for 37.11% of total exports; of which non-oil products contributed ₦3.17 trillion or 15.38% of total exports. On the other hand, imports accounted for 42.82% of total trade in the first quarter of 2025, with a value of ₦15.42 trillion representing a 4.59% increase compared to ₦14,74 trillion recorded in Q1 2024, and a 7.02% decrease from ₦16.59 trillion recorded in Q4 2024.

The total public debt stock as at 31st March, 2025 (first quarter) stood at ₦149.39 trillion (US$97.24 billion). This indicates an increase of ₦2.35 trillion (3.27 percent) when compared to the ₦144.67 trillion (US$94.23 billion) recorded at the end of December, 2024. The breakdown comprised of ₦78.76 trillion (US$51.26 billion) or 52.72 percent for domestic debt stock while the balance of ₦70.63 trillion (US$45.98 billion) or 47.28 percent was for external debt stock. This translates to a net present value of total public debt/GDP ratio of 44.19 percent as at the end of March, 2025. This is below the country's threshold of 60 percent and the international threshold of 56 percent for comparator countries.

FGN Budget implementation in the quarter was affected by the decline in the prices of crude oil in the international market which averaged US$74.65 per barrel in the first quarter of 2025. This is US$0.55 per barrel (0.74 percent) higher than US$74,65 per barrel in the fourth quarter of 2024 but US$8.25 (9.91 percent) lower than US$83.23 in the correspondent quarter of 2024. The performance also reflects a decrease of US$0.02 per barrel (0.03 percent) below the US$75.00 per barrel oil price benchmark for the 2025 budget.

The nation equally recorded an average daily oil production of 1.6 million barrels per day (mbpd), higher than the daily average production of 1.57 mbpd recorded in the same quarter of 2024 by 0.03 mbpd and higher than the fourth quarter of 2024 production volume of 1.54 mbpd by 0.06mbpd. The production volume for the review period however fell short of the projected budget benchmark of 2.12 mbpd by 0.52 mbpd or 24.53 percent.

Gross Oil Revenue stood at ₦4.55 trillion representing a shortfall of ₦8.21 trillion (64.35 percent) from the ₦12.76 trillion prorate projected quarterly gross oil revenue in the 2025 Budget. It was however, ₦1.20 trillion (35.82 percent) above the actual gross oil revenue of ₦3.35 trillion generated in the corresponding period of 2024. The gross non-oil revenue of ₦4.71 trillion received in the first quarter of 2025 signified a decrease of ₦1.34 trillion (22.18 percent) below the quarterly estimate of ₦6.05 trillion. The net distributable revenue for the three tiers of government after cost deductions stood at ₦8.06 trillion in the first quarter of 2025, representing a shortfall of ₦8.79 trillion (52.16 percent).

The sum of ₦10.22 trillion was budgeted for funding the FGN budget in the first quarter of 2025. This comprises ₦5.25 trillion (51.37 percent) oil revenue and ₦4.97 trillion (48.63 percent) other revenues. The amount received was ₦4.95 trillion. This was 51.53 percent below the quarterly budget projection but ₦1.37 trillion (38.13 percent) higher than the ₦3.59 trillion reported in the first quarter of 2024.

The FGN continued to pursue its goal of reducing recurrent expenditure growth as stated in the 2025-2027 MTEF/FSP. Key initiatives aimed at reducing recurrent costs were therefore implemented vigorously during the period. This includes the embargo on unapproved recruitment by MDAs. All requests for recruitment and enrolment of staff into the FGN payroll are required to among others first seek clearance from Budget Office of the Federation.

Total expenditure of Government in the first quarter of 2025 stood at ₦8.00 trillion representing a decrease of ₦5.75 trillion (41.83 percent) from the ₦13.75 trillion prorate quarterly budget for the period. It was however ₦2.27 trillion (39.61 percent) above the ₦5.73 trillion quarterly projection reported in the first quarter of 2024. A total of ₦2.24 trillion was spent on non-debt recurrent expenditure in the first quarter of 2025. This represents a decrease of ₦1.15 trillion (33.96 percent) from the quarterly estimate of ₦3.40 trillion but a ₦348.57 billion (18.40 percent) above ₦1.89 trillion recorded in the first quarter of 2024. Statutory Transfer amounts to ₦445.04 billion during the review period.

Total Debt Service in the first quarter of 2025 stood at ₦4.78 trillion, indicating an increase of ₦1.20 trillion (33.65 percent) above the ₦3.58 trillion projected for the quarter. The sum of ₦1.80 trillion was projected for domestic debt servicing during the period under review. The amount used for domestic debt servicing was however ₦812.07 billion, 45.17 percent above the projection for the quarter. External debt service was ₦1.69 trillion in the quarter, ₦436.07 billion or 25.85 percent above the prorate projected figure for the period.

The revenue and expenditure outturn of the Federal Government resulted in a fiscal deficit of ₦3.04 trillion in the first quarter of 2025. This was ₦481.81 billion (13.67 percent) below the projected quarterly fiscal deficit of ₦3.53 trillion. The Q1 2025 fiscal deficit was also higher than the ₦1.47 trillion deficit recorded in the first quarter of 2024. The deficit was financed through domestic borrowing of ₦3.30 trillion, privatization proceeds of ₦57.16 billion and Multi-lateral/Bi-lateral Project-tied loans of ₦70.11 billion in the period under review.

Overall, the nation's economy grew by 3.13 percent in the first quarter of 2025, a sign that represents an improvement in economic performance and a gradual economic stability. This results from the various stimulus economic packages being implemented by the Federal Government. It is expected that the economy will continue to improve in subsequent quarters of 2025.

1.0 INTRODUCTION

The Budget of the Federal Government of Nigeria (FGN) is an important instrument used in achieving its strategic objectives and plans for the socio-economic development of the nation. It shows the allocation of resources to different sectors/agencies by the Government in its effort to deliver public goods/services to the people. The FGN Budget is not all about expenditure allocations as often assumed by many. Revenue remains a critical and vital component of the FGN budget and have been highlighted in recent times.

The 2025 Budget was titled "Budget of Restoration: Securing Peace, Rebuilding Prosperity." Allocations to MDAs were guided by the strategic objectives of the National Development Plan 2021-2025, which are: diversifying the economy, with robust MSME growth; investing in key infrastructure; strengthening security and ensuring good governance; enabling a vibrant, educated and healthy populace; reducing poverty; and minimizing regional, economic and social disparities.

The 2025 Appropriation, was designed to further deliver on the reflationary policies of the 2023 and 2024 Budgets, which helped sustain the recovery and growth of the economy. It was prepared taking into consideration the policies/strategies contained in the 2025-2027 Medium Term Expenditure Framework (MTEF) and Fiscal Strategy Paper (FSP). The Budget was prepared in line with the government's development priorities, as articulated in the National Development Plan (NDP) 2021 to 2025.

The 2025-2027 MTEF and FSP provided the economic framework for the 2025 Budget, along with fiscal policy objectives and spending priorities of the Government over the period. It also shows the plans for achieving Government's defined objectives and highlights the key assumptions behind revenue estimates and fiscal targets as well as possible fiscal risks over the medium term. Furthermore, it articulates the nature of the Federal Government's debt liabilities, their fiscal consequences, and measures aimed at reducing them. It also provides the foundation for the preparation of revenue and expenditure estimates of the annual FGN budget. Hence, the MTEF represents efforts towards multi-year perspective in budgeting.

Revenue generation remains the main fiscal challenge of the Federal Government. The systemic resource mobilization problem has been compounded by recent slowdown in economic growth. Several measures are however being implemented to improve government revenue while efforts to enhance fiscal prudence is being prioritized with emphasis on achieving value for money.

These measures include: Improving the tax administration framework including tax filing and payment compliance; Evaluation of the process and policy effectiveness of Fiscal Incentives, including; Review of Sectors eligible for Pioneer Tax Holiday Incentives under the Industrial Development Income Tax Relief Act ('IDITRA'); Dimensioning the cost of tax waivers/concessions, and evaluating their policy effectiveness; Setting annual ceilings on Tax Expenditures to better manage their impact on already constrained government revenues; and Ensuring that MDAs appropriately account for and remit their internally generated revenue.

Others measures include: Identifying and plugging existing revenue leakages to enhance tax compliance and reduce tax evasion; Leveraging technology and automation; plugging fiscal drainers like subsidies. To further improve the Independent Revenue collection, Government aims to optimize the operational efficiencies of revenue generation and remittance of GOEs.

The strategies to improve revenue mobilization is being sustained in 2025 with the goal of achieving the following objectives: Enhancing tax and excise revenues through policy reforms and tax administration measures; Reviewing the policy effectiveness of tax waivers and concessions; Boosting customs revenue through the e-Customs and Single Window initiatives; and Safe guarding and growing revenues from the oil and gas sector. The target over the medium term is to grow the Revenue-to-GDP ratio from about 8 percent currently to 15 percent over the medium term. At that level of revenues, the Debt-Service-to-Revenue ratio will cease to be worrying. In a simple term, Nigeria does not have a debt sustainability problem, but a revenue challenge which the present government is determined to tackle so as to ensure that public debts remain sustainable.

Very importantly, the government is augmenting available resources with loans to finance critical development projects and programmes aimed at improving the economic environment and ensuring effective delivery of public services to the people. Focus has been on: the completion of major road and rail projects; the effective implementation of power sector projects; the provision of potable water; construction of irrigation infrastructure and dams across the country; and critical health projects such as the strengthening of national emergency medical services and ambulance system, procurement of vaccines, polio eradication and upgrading of Primary Health Care Centre's across the six geopolitical zones.

Defence and internal security continue to be top priority of the FGN due to its promise to ensure the security of life, property and investment nationwide by assuring that our gallant men and women in the armed forces, police and paramilitary units are properly equipped, remunerated and well-motivated. MDAs also were clearly advised on gender responsive budgeting as started in 2024. These are part of critical steps in FGN efforts to distribute resources equitably and also to reach out to the vulnerable groups of our society.

In 2025, Government continues to strengthen the frameworks for concessions and Public Private Partnerships (PPPs). Capital projects that are good candidates for PPP by their nature are being developed for private sector participation. Also, government is exploring available opportunities in the existing ecosystem of green finance including the implementation of the Sovereign Green Bond Programme and leveraging debt-for-climate swap mechanisms.

This Report provides detailed information on the 2025 First Quarter Budget Implementation. The other parts of the Report are arranged as follows: Following this introductory section, Section 2 reviews macroeconomic performance, highlighting the performance of the real, monetary and external sectors. Section 3 presents an analysis of Government's revenue receipts and expenditure in the period under review, while Section 4 is a brief conclusion of the Report.

2.0 MACROEONOMIC DEVELOPMENT AND ANALYSIS

2.1 Performance of the Global Economy

As of July 2025, the IMF projects global economic growth at 3.0% in 2025, down by 0.3 percentage points from 3.3% in 2024, with near-term growth remaining below the pre-pandemic average (3.7%). Substantial rise in trade barriers and elevated global policy uncertainty were identified as key drags to global growth during the period. This was however offset by near-term boosts including strong trade front-loading ahead of anticipated tariffs hike, lower-than-expected average US tariff rates, favourable financial conditions, and fiscal expansion in some major jurisdictions.

Advanced economies are projected to grow by 1.5% in 2025, down from 1.8% (2023–24), with the United States projected to grow at 1.9% in 2025 from 2.8% in 2024. Emerging market & developing economies (EMDEs) are projected to record a 4.1% growth in 2025 down from 4.3% in 2024. China's growth was revised up to 4.8% for 2025, but is still 0.8 percentage points from 2024 performance with the revision reflecting stronger H1 2025 activity and reduced US–China tariffs. In other key EMDE's growth, India was projected to grow by 6.4%, Middle East and Central Asia at 3.4%, and Sub-Sahara Africa's growth was projected at 4.3%, among others

World trade volume was revised up to 2.6% in 2025 reflecting trade front-loading, but expected to slow to 1.9% in 2026 as payback occurs. Global headline inflation is expected to decline to 4.2% in 2025 from 5.6% in 2024, driven by tariff developments, energy prices, and exchange rates. The front-loading effect raises 2025 trade and growth temporarily but is expected to unwind in H2 2025, reducing activity in 2026.

The risks to growth remained tilted to the downside including renewed tariff escalations, prolonged trade policy uncertainty, non-tariff barriers disrupting supply chains, geopolitical tensions, and mounting fiscal vulnerabilities that could harm growth and re-ignite inflation. On the upside, successful trade-negotiation breakthrough, labour-market reforms, reduced mobility barriers, streamlined regulation, greater competition, and accelerated technological adoption would enhance productivity and growth.

Government therefore needs to pursue policies to improve confidence and predictability; calm tensions and promote clear, transparent trade frameworks; preserve macro stability: maintain price and financial stability and rebuild fiscal buffers while protecting critical spending. Fiscal actions to enhance revenues, improve spending efficiency, crowd in private investment, and rely on automatic stabilizers for shocks are needed. Monetary policy is also required to calibrate country specifics balance between inflation and growth risks amid trade tensions. Also, structural reforms to boost labour markets, education, regulation, competition, and technology adoption to lift medium-term potential growth and productivity are needed.

2.2 DOMESTIC MACROECONOMIC PERFORMANCE

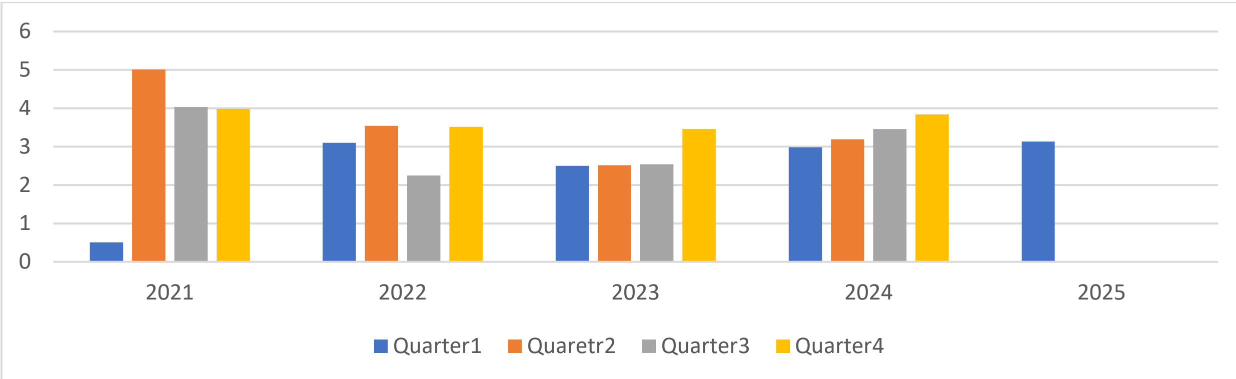
2.2.1 Development in Real Sector

2.2.1.1 GDP Growth

Gross Domestic Product (GDP) grew by 3.13 percentage (year-on-year) in real terms in the first quarter of 2025. This growth rate is higher than the 2.27 percent recorded in the first quarter of 2024 by 0.86 percentage points. The performance of the GDP in the quarter under review was driven mainly by the Services sector, which grew by 4.33 percent and contributed 57.50 percent to the aggregate GDP. The agriculture sector grew by 0.07 percent, 1.86 percentage points from the growth of -1.79 percentage recorded in the first quarter of 2024.

The industry sector grew by 3.42 percent, 1.07 percentage points from 2.35 percent recorded in the first quarter of 2024. In terms of share of the GDP, the services and industry sectors contributed more to the aggregate GDP in the first quarter of 2025 compared to the corresponding quarter of 2024. In the quarter under review, aggregate GDP at basic price stood at N94.05 trillion in nominal terms. This performance is higher when compared to the first quarter of 2024, which recorded an aggregate GDP of N79.51 trillion, indicating a year-on-year nominal growth of 18.30 percent.

Figure 2.1 GDP Percentage Growth (Q1 2021 – Q1 2025)

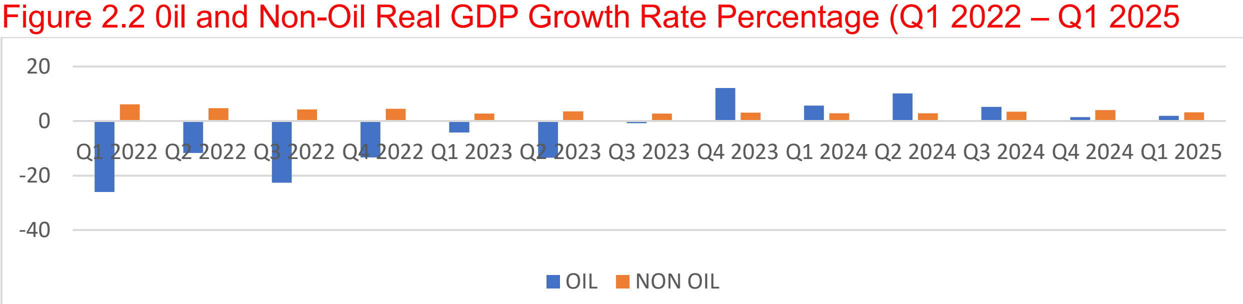


Source: National Bureau of Statistics

For better clarity, the Nigerian economy has been classified broadly into the oil and non-oil sectors. The nation recorded an average daily oil production of 1.62 million barrels per day (mbpd) in the first quarter of 2025, higher than the daily average production of 1.57 mbpd recorded in the same quarter of 2024 by 0.05 mbpd. This was also higher than the fourth quarter of 2024 production volume of 1.54 mbpd by 0.08mbpd or 5.19 percent.

The real growth of the oil sector was 1.87 percent (year-on-year) in Q1 2025, indicating a decrease of 2.85 percentage points relative to the rate recorded in the corresponding quarter of 2024 (4.71%). Growth decreased by 0.22 percentage points when compared to Q4 2024, which was 2.08 percent. On a quarter-on-quarter basis, the oil sector recorded a growth rate of 13.81 percent in Q1 2025. The Oil sector contributed 3.97 percent to the total real GDP in Q1 2025, down from the figure recorded in the corresponding period of 2024 at 4.02 percent. It was however higher than the rate in the preceding quarter, where it contributed 2.80 percent.

Figure 2.2 0il and Non-Oil Real GDP Growth Rate Percentage (Q1 2022 – Q1 2025



Source: National Bureau of Statistics, 2025

2. 2 Non-Oil Sector

The non-oil sector grew by 3.19 percent in real terms during the reference quarter (Q1 2025). This rate was higher by 1.02 percentage points compared to the rate recorded in the same quarter of 2024, which was 2.17 percent but lower than the 3.80 percent recorded in the fourth quarter of 2024. The sector was driven mainly by Information and Communication (Telecommunications); Agriculture (Crop production); Real Estate; Financial and Insurance (Financial Institutions); Trade; Construction; and Manufacturing (Food, Beverage and Tobacco), accounting for positive GDP growth in the review period. In real terms, the non-oil sector contributed 96.03 percent to the nation's GDP in the first quarter of 2025, higher than the share recorded in the first quarter of 2024, which was 95.98 percent but lower than the fourth quarter of 2024 record of 97.20 percent.

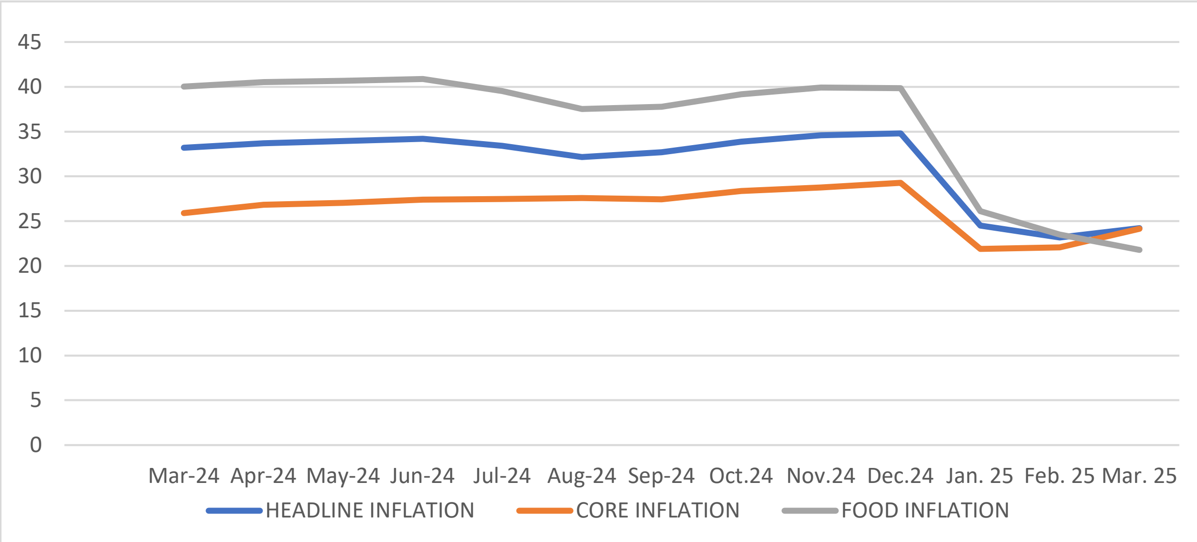
2.2.2 Development in Prices

Headline inflation rate stood at 24.23 percent as at end-March 2025. On a year-on-year basis, the Headline inflation rate was 8.97 percentage points lower than the rate recorded in March 2024 (33.20 percentage).

The Food inflation rate in March 2025 was 21.79 percent on a year-on-year basis which was 18.31 and 18.05 percentage points lower compared to the 40.01 percent recorded in March, 2024 and 39.84 percent in the preceding quarter of 2024.

The "All items less farm produces and energy" or Core inflation, which excludes the prices of volatile agricultural produces and energy stood at 24.43 percent in March 2025 on a year-on-year basis which is 1.47 and 4.85 percentages points lower than the 25,90 and 39.84 percents recorded in March (correspondent quarter) and December (preceding quarter), 2024, respectively

Figure 2.3: Inflation Rate (March, 2024 – March, 2025)



Source: National Bureau of Statistics, 2025

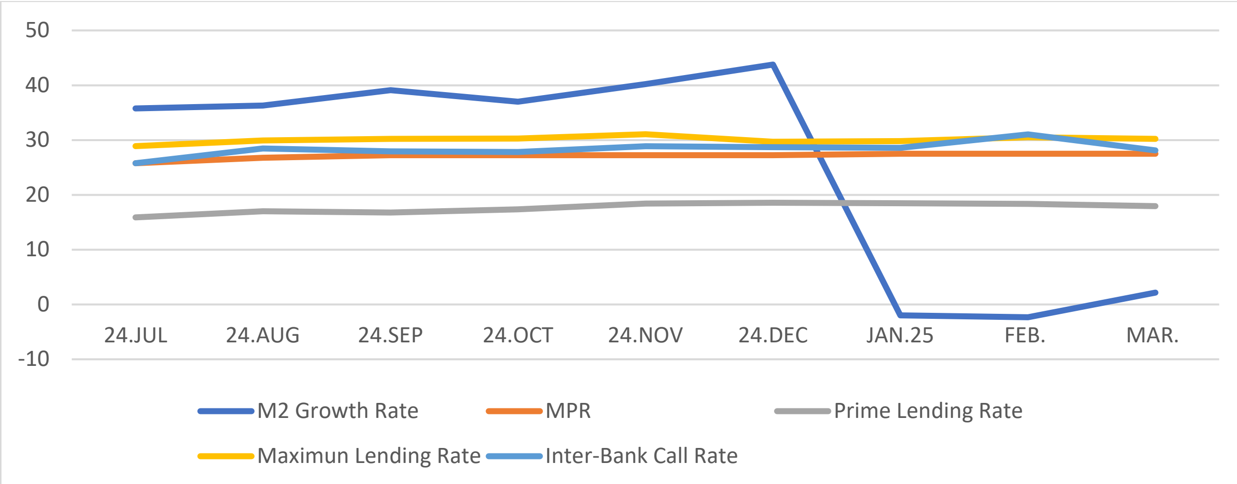
2.2.3 Developments in Money Market

Monetary aggregates increased in the review period relative to the fourth quarter of 2024. Broad Money Supply (M2) increased by ₦2.46 trillion (2.17 percent) in December, 2024 to ₦115.79 trillion in March, 2025. Net Domestic Asset (NDA) decreased by 16.24 percent (₦13.22 trillion) from ₦81.39 trillion in December, 2024 to ₦68.18 trillion in March 2025.The development in NDA was due to the decline in Net Domestic Credit (NDC) during the period. Net Domestic Credit (NDC) decreased by 4.37 percent (₦4.59 trillion) from ₦105.16 trillion in December, 2024 to ₦100.57 trillion in March, 2025.

The decrease in Net Domestic Credit (NDC) was driven by Net Credit to Government and Credit to Private Sector during the period under review. Net Credit to Government decreased by 9.4 percent (₦2.55 trillion) from ₦27.14 trillion in December, 2024 to ₦24.59 trillion in March, 2025. Similarly, Credit to Private Sector decreased by 2.62 percent (₦2.04 trillion) from ₦78.02 trillion in December, 2024 to ₦75.98 trillion in March, 2025.

The Central Bank of Nigeria retained the Monetary Policy Rate (MPR) at 27.50 in the review period. The asymmetric corridor around the MPR was also retained at +500/-100 basis points. The Cash Reserve Ratio (CRR) was equally left at 50.00 percent during the period, while the Liquidity Ratio was retained at 30.0 percent.

Figure 2.4: M2 Growth Rate and Interest Rates Trend (June. 2024 – March. 2025)



Source: Central Bank of Nigeria, 2025

The above developments led to decrease in the deposit and lending rates in the economy. The average interbank call rate remained declined from 28.71 percent in December, 2024 to 28.09 percent in March, 2025. Similarly, the average prime lending rate decreased from 18.56 percent in December, 2024 to 17.96 percent in March, 2025. The average maximum lending rate however increased from 29.71 percent in December, 2024 to 30.19 percent in March, 2025.

2.2.4 Developments in the External Sector

2.2.4.1 External Trade

The external trade total merchandise stood at ₦36.02 trillion in Q1, 2025. This represents an increase of 6.19% compared to the value of ₦33.93 trillion recorded in the corresponding period of 2024 and a decrease of 1.58% compared to the value recorded in the preceding quarter (₦36.60 trillion). In the quarter under review, exports accounted for 57.18% of total trade with a value of ₦20.60 trillion, showing an increase of 7.42% over the value recorded in the corresponding quarter of 2024 (₦19.18 trillion) and by 2.92% compared to the value recorded in Q4, 2024 (₦20.01 trillion). Further analysis shows that Nigeria's exports trade continued to be dominated by crude oil in the first quarter of 2025 valued at ₦12.95 trillion and representing

62.89% of total exports. The value of non-crude oil exports stood at ₦7.64 trillion accounting for 37.11% of total exports; of which non-oil products contributed ₦3.17 trillion or 15.38% of total exports.

On the other hand, imports accounted for 42.82% of total trade in the first quarter of 2025, with a value of ₦15.42 trillion. This represents a 4.59% increase compared to ₦14.74 trillion recorded in Q1 2024, but a 7.02% decrease from ₦16.59 trillion recorded in Q4 2024.

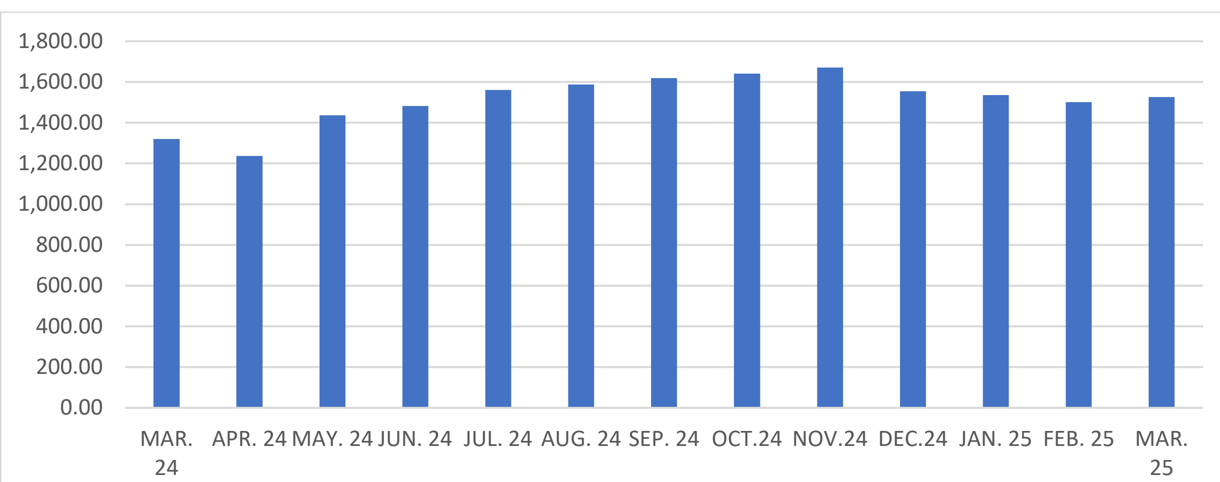
2.2.4.2 Balance of Trade

The merchandise trade balance for Q1 2025 remained positive at ₦5.17 trillion, indicating an increase of 51.07% compared to the value recorded in the preceding quarter.

2.2.4.3 Exchange Rates

The exchange rate of Naira to the US Dollar in the Investors and Exporters segment of the foreign exchange market appreciated to ₦1,526.37/US$ in March, 2025 from ₦1,553.73/US$ in December, 2024. However, the naira depreciated when compared to ₦1,320.20/US$ recorded in March, (correspondent quarter) 2024. There was no data for the Official/Inter-Bank segment and Bureau-de-Change (BDC) segments of the foreign exchange market

Figure 2.5: Naira/US$ Exchange Rates Trend (Mar. 2024 – Mar. 2025)



Source: Central Bank of Nigeria, 2025

2.2.4.4 External Reserves

Data from the CBN showed that Nigeria's gross external reserve declined at the end of the first quarter of 2025. The reserve position decreased from US$38.71 billion in January to US$38.44 billion in February and further to US$37.82 billion in March, 2025.

The performance at the end of March, 2025 represented a decrease of US$2.37 billion (5.90 percent) from the figure reported at the end of December, 2024. It was however US$5.53 billion (17.13 percent) above the US$32.29 billion performance recorded at the end of first quarter of 2024. The level of external reserves is anticipated to go higher in subsequent quarters due to expected improvement in crude oil production and prices in the near term.

Figure 2.6: Level of External Reserves in Billion Dollars (Mar. 2024– Mar. 2025)

Source: Central Bank of Nigeria, 2025

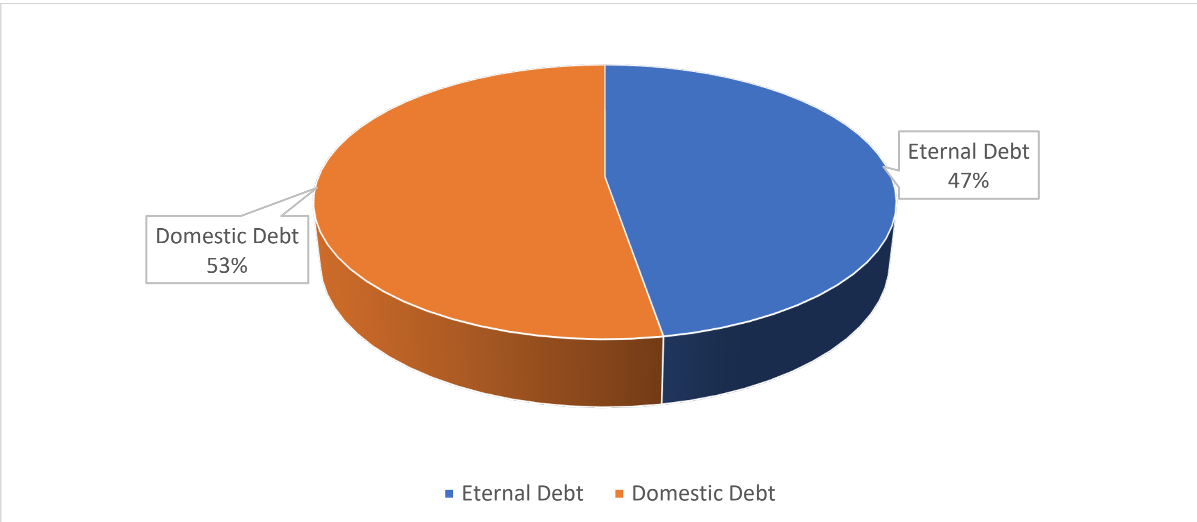
2.2.5 Debt Stock

2.2.5.1 Total Public Debt Stock

The total public debt stock as at 31st March, 2025 (first quarter) stood at ₦149.39 trillion (US$97.24 billion). This indicates an increase of ₦2.35 trillion (3.27 percent) when compared to the ₦144.67 trillion (US$94.23 billion) recorded at the end of December, 2024. The breakdown comprise of ₦78.76

trillion (US$51.26 billion) or 52.72 percent for domestic debt stock while the balance of ₦70.63 trillion (US$45.98 billion) or 47.28 percent was for external debt stock. This translates to a net present value of total public debt/GDP ratio of 44.19 percent as at the end of March, 2025. This is below the country's threshold of 60 Percent and the international threshold of 56 percent for comparator countries.

Figure 2.7: Total Public Debt Stock (First Quarter 2025)



Source: Debt Management Office, 2025

2.2.5.2 Domestic Debt Stock

The federal Government's domestic debt stock stood at ₦74.89 trillion as at the end of March, 2025, representing an increase of ₦4.48 trillion (6.36 percent) above the ₦70.41 trillion recorded in the fourth quarter of 2024. It was also ₦9.24 trillion (14.08 percent) above the ₦65.65 trillion reported in the corresponding period of 2024. The increase in domestic debt relative to the first quarter of 2024 was due the new issuance of FGN bonds during the period.

A breakdown of the domestic debt stock as at 31st March, 2025 reveal that ₦59.80 trillion (79.85 percent) is for FGN Bonds, ₦12.70 trillion (16.96 percent) is for Nigerian Treasury Bills (NTBs), ₦82.61 billion (0.11 percent) is for FGN Savings Bonds, ₦992.56 billion (1.33 percent) is for FGN Sukuk, ₦15.00 billion (0.02 percent) is for Green Bond and ₦1.30 trillion (1.74 percent) is for Promissory Notes.

2.2.5.3 External Debt Stock

Nigeria's external debt stock as at 31st March, 2025 stood at US$45.98 billion It was US$194.57 million (0.43 percent) and US$3.84 billion (9.12 percent) higher when compared to the US$45.78 billion reported in the fourth quarter and the US$42.12 billion reported in the correspondent quarter of 2024 respectively.

A breakdown of the external debt stock as at 31st March, 2025 revealed that Multilateral Debts amounted to US$22.43 billion (48.80 percent), Bilateral Debts amounted to US$6.03 billion (13.12 percent) while commercial (Euro-Bond) amounted to US$17.51 billion (38.08 percent).

3.0 FINANCIAL ANALYSIS OF 2025 BUDGET IMPLEMENTATION

3.1 Key Assumptions and Projections

The 2025 Budget was based on the 2025-2027 Medium Term Fiscal Framework and Fiscal Strategy Paper (MTFF/FSP) which was in line with the Government's National Development Plan 2021-2025. Table 3.1 presents the key budget assumptions and targets over the period 2021-2025.

Table 3.1: Key Budget Assumptions and Targets, 2021 - 2025

KEY BUDGET ASSUMPTIONS AND TARGETS 2020-2024					
ITEMS	**2021**	**2022**	**2023**	**2024**	**2025**
Projected production in mbpd	**1.86**	**1.6**	**1.69**	**1.78**	**2.12**
budget Benchmark price (per barrel in US)	**40**	**73**	**75**	**77.96**	**75**
Technical Cost of JVC Pbl to oil Companies					
Operating Expenses (T1) in US$	**10.68**	**14.3**	**27.5668**	**22.57**	**13.44**
Capital Expenses(T2) in US$	**13.16**	**11.56**	**12.77281**	**10.77**	**8.32**
Petroleum Investment Allowance (10%)	**0.25**	**0.35**	**0.284689**	**0.24**	**0.24**
Technical Cost of PSC Pbl to oil Companies					
Operating Expenses (T1) in US$	**15.02**	**12.02**	**20.0612**	**18.06**	**18.06**
Capital Expenses(T2) in US$	**8.27**	**7.51**	**7.09165**	**7.09**	**7.09**
Investment Tax Credit	**2.26**	**1.28**	**3.831049**	**3.63**	**3.83**
Technical Cost of SC pbl to oil Company					
Operating Expenses (T1) in US$		**27.08**	**24.73096**	**26.05**	
Capital Expenses(T2) in US$		**5.8**	**3.776715**	**4.02**	
Investment Allowances		**1.03**	**0.890411**	**0.89**	
Technical Costs of Independent pbl to oil Company					
Operating Expenses (T1) in US$	**11.74**	**15.73**	**15.72945**	**12.03**	**15.93**
Capital Expenses(T2) in US$	**14.48**	**12.71**	**12.7107**	**11.55**	**12.71**
Investment Allowances	**0.27**	**0.44**	**0.439317**	**0.26**	**0.44**
Weighted Average Rate of PPT-JV Oil		**85%**	**85%**	**85%**	**30%**
Weighted Average Rate of PPT-PSC Oil		**50.10%**	**50%**	**50%**	**30%**
Weighted Average Rate of PPT - SC Oil		**85%**	**85%**	**85%**	
Weighted Average Rate of PPT- Independent (indigenous		**85%**	**85%**	**85%**	**30%**
Weighted Average Rate of PPT- Marginal		**85%**	**85%**	**85%**	**30%**
Royalty Rates					
Weighted Average Rate of Royalties- JV Oil		**19.70%**	**20%**	**20%**	**16.60%**
Weighted Average Rate of Royalties - PSC		**10.40%**	**12%**	**12%**	**12.50%**
Weighted Average Rate of Royalties -SC Oil		**20%**	**20%**	**20%**	
Weighted Average Rate Of Royalties- Independent		**17.70%**	**18%**	**18%**	**16.90%**
Weighted Average Rate Of Royalties- Marginal		**4.10%**	**3%**	**3%**	**7.90%**
Average Exchange Rate(NGN/US$)	**379**	**410**	**435.57**	**800**	**800**
Vate Rate	**7.50%**	**7.50%**	**7.50%**	**7.50%**	**7.50%**
CIT Rate	**30%**	**30%**	**30.00%**	**30.00%**	**30%**

Source: BOF, NNPC, FIRS, and NCS, 2025

3.1.1 Budget Benchmark Oil Price and Production

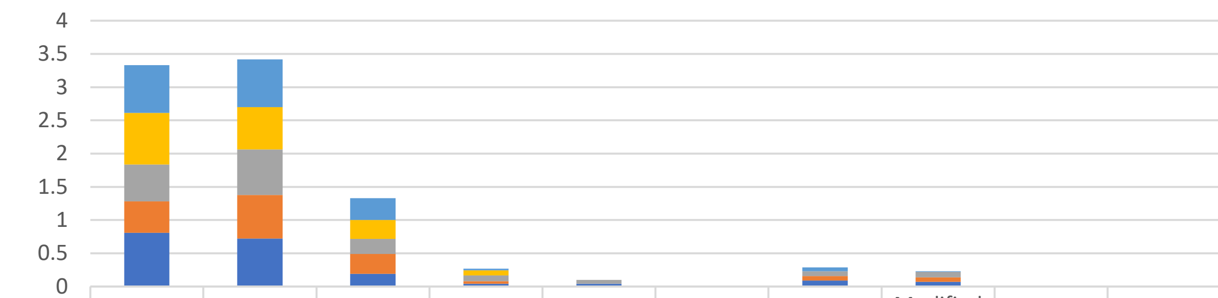
The benchmark price of oil for the 2025 Budget was pegged at US$75.00/barrel while benchmark oil production was estimated at 2.12mbpd. Government continues to use benchmark oil production and price for the yearly budget so as to insulate budget expenditures from the instabilities in domestic production and the price of oil in the global market.

Budgeted crude oil output was projected upward from 1.78mbpd in 2024 to 2.12mbpd in 2025 with a decrease in the cost outlay projected against 2024. The Technical Cost comprising average of operating and capital expenses were reviewed downward in the 2025 fiscal year when compared to the rates in 2024 for both the Joint Ventures (JVs) and the Independent Contracts. The average expenses [Capital (T1) and Operating (T2)] for the JVs production arrangement were significantly adjusted downward from US$33.34 per barrel in 2024 to US$21.76 per barrel in 2025 indicating a decrease of US$11.58 per barrel in the period.

The average expenses for the Independent Contracts was however increased to US$28.64 per barrel in 2025 from US$23.84 in 2024. On the other hand, the average expenses [Capital (T1) and Operating (T2)] for the Production Sharing Contracts remained constant at U$25.15 per barrel in 2024 and 2025.

The share of oil production by business arrangement remained relatively stable with the JVs and PSCs both dominating at approximately 33.96 percent each. The share of Independent Contract decreased slightly from 15.8 percent in 2024 to 15.17 percent in 2025. Information on expected contributions of oil production by business arrangement are presented in Figure *3.1* while the analysis of contributions and duties for key oil taxes that are projected to accrue to the Federation are also represented in *Table 3.2*. These rates have some change from the rates in the 2024 budget framework.

Figure 3.1: Budget Oil Production by Business Arrangements 2021-2025



	Prod. Sharing Contracts	Joint Ventures	Independents	Marginal fields	External Financing	Equity Financing	Repayment Arrears	Modified Carry Arrangement	Alternative Fundung	Service Contracts
2025	0.72	0.72	0.33	0.02	0	0	0.06	0.01	0	0
2024	0.779	0.635	0.284	0.081	0	0	0	0	0	0
2023	0.554	0.683	0.228	0.086	0.06	0	0.069	0.082	0	0
2022	0.47	0.66	0.3	0.04			0.07	0.07	0	0
2021	0.81	0.72	0.19	0.04	0.04		0.09	0.07	0	0

Source: NAPIMS/NNPC, 2025

Table 3.2: Detailed Assumptions for Oil Production and Taxes (2021 - 2025)

Share+A1:J21+A1:K17 of Produ	2021 production volume	2021 percentage	2022 production volume	2022 Percentage	2023 +F1:N11Production Volume	2023 Percentage	2024 production volume	2024 percentage	2025 Production Volume	2025 Percentage
Joint Ventures	0.716	36.64%	0.664	39.80%	0.683	38.76	0.635	35.8	0.72	33.96%
Altetrnative Funding			0	0.00%	0	0.00	0	0	0	0
External Financing	0.041	2.10%	0.056	3.36%	0.06	3.41	0	0	0	0
Modified Carry Arrangement	0.067	3.43%	0.067	4.02%	0.082	4.65	0	0	0.12	5.66
Production Sharimg Contract	0.812	41.56%	0.469	28.13%	0.554	31.44	0.779	43.9	0.72	33.96
Idependents	0.19	9.72%	0.302	18.12%	0.228	12.94	0.281	15.8	0.33	15.17
Service Contract	0.003	0.15%	0.002	0.12%	0	0.00	0.081	0	0	0
Marginal	0.035	1.79%	0.04	2.40%	0.086	4.88	0	4.6	0.17	8.02
Base Production			1.6	95.98%	1.693	96.08	1.78	100		
Repayment Arrears	0.09	4.61%	0.067	4.02%	0.069	3.92	0	0	0.06	2.83
Equity Financing						0.00	0	0	0	o
Total oil Production	1.954	100.00%	1.667	100%	1.762	100.00	1.78	100	2.12	100
PPT Rates										
weighed Average JV/AF/Independent/Marginal		85.00%		85%		85.00%		85.00%	30%	30%
Weighed Average PSC		50.12%		50.10%		50.10%		50.10%	30%	30%
Weighed Average SC		85.00%		85%		85.00%		85.00%		
Royalties Fares										
Weighed Average JV		18.67%		19.70%		19.80%		19.80%	16.60%	16.60%
Weighed Average-Independents		19.31%		17.70%		17.50%		17.50%	16.90%	16.90%
Weighed Average-Marginal		9.29%		4.10%		3.00%		3.00%	7.90%	7.90%
Weighed Average PSC		10.00%		10.40%		11.50%		11.50%	12.50%	12.50%
Weighed Averag-SC Oil		18.50%		20%		20.00%		20.00%		

Source: NNPC and BOF, 2025

3.2 Analysis of Revenue Performance

3.2.1 Performance of Key Oil Revenue Parameters

The price of crude oil in the international market averaged US$74.98 per barrel in first quarter of 2025 which is US$0.55 per barrel (0.74 percent) higher than US$74,65 per barrel in the fourth quarter of 2024 but US$8.25 (9.91 percent) lower than US$83.23 in the correspondent quarter of 2024. The performance also reflects a decrease of US$0.02 per barrel (0.03 percent) below the US$75.00 per barrel oil price benchmark for the 2025 budget. However, the nation recorded an average daily oil production of 1.6 million barrels per day (mbpd), higher than the daily average production of 1.57 mbpd recorded in the same quarter of 2024 by 0.03 mbpd and higher than the fourth quarter of 2024 production volume of 1.54 mbpd by 0.06mbpd. The production volume for the review period however fell short of the projected budget benchmark of 2.12 mbpd by 0.52 mbpd or 24.53 percent.

Nigeria's oil sector faces significant challenges including persistent crude oil theft, pipeline vandalism, and lack of security leading to production declines and supply disruptions. Other key issues are underinvestment in modern technology and infrastructure, corruption, regulatory uncertainties, and the country's overreliance on oil exports which makes it vulnerable to market volatility. Furthermore, the nation struggles with a lack of domestic refining capacity, environmental degradation from gas flaring, and a weak fiscal and policy framework, despite the recent Petroleum Industry Act.

3.3 Aggregate Revenue of the Federation

In the 2025 Fiscal Framework, Gross Federally Collectible Revenue is projected at ₦78.08 trillion, comprising of ₦51.05 trillion (65.38 percent) Oil Revenue and ₦27.03 trillion (34.62 percent) Other Revenues. This translates to a prorate quarterly Gross Federally Collectible Revenue projection of ₦19.52 trillion for 2025.

3.4 Oil Revenue Performance

Actual Gross Oil Revenue stood at ₦4.66 trillion in the first quarter of 2025. This translates to an ₦8.09 billion (63.44 percent) shortfall when compared with the 2025 quarterly prorate budget estimate of ₦12.76 trillion. The performance was however ₦756.84 billion (19.36 percent) and ₦1.31 trillion (39.28 percent) above the ₦3.91 trillion and ₦3.35 trillion generated in the fourth and first quarters of 2024 respectively.

A breakdown of the oil revenue performance in the first quarter of 2025 shows that Concessional Rentals of ₦15.07 billion, Miscellaneous (Pipeline fees etc.) of ₦15.02 billion and Incidental Oil Revenue (Royalty Recovery & Marginal Field) of ₦332.92 billion exceeded their quarterly budget estimates of ₦1.03 billion, ₦5.86 billion and ₦295.88 billion by ₦14.04 billion (1,365.22 percent), ₦9.16 billion (156.26 percent) and ₦37.04 billion (12.52 percent).

All other oil revenue items performed below their quarterly budget projections. Crude Oil & Gas Sales of ₦438.54 billion, Petroleum Profit and Gas Taxes of ₦1.81 trillion and Royalties (Oil & Gas) of ₦1.91 trillion fell below their quarterly estimate of ₦1.18 trillion, ₦7.85 trillion and ₦3.43 trillion by ₦739.65 billion (62.78 percent), ₦6.03 trillion (76.89 percent) and ₦1.52 trillion (44.19 percent) respectively. On the other hand, Gas Flared Penalty and Exchange Gain which had zero projection, yielded ₦124.87 billion and ₦9.57 billion respectively in the quarter under review. Please see Table 3.4.

Table 3.3: Performance of Federation Revenue in the First Quarter of 2025 Vs 2024

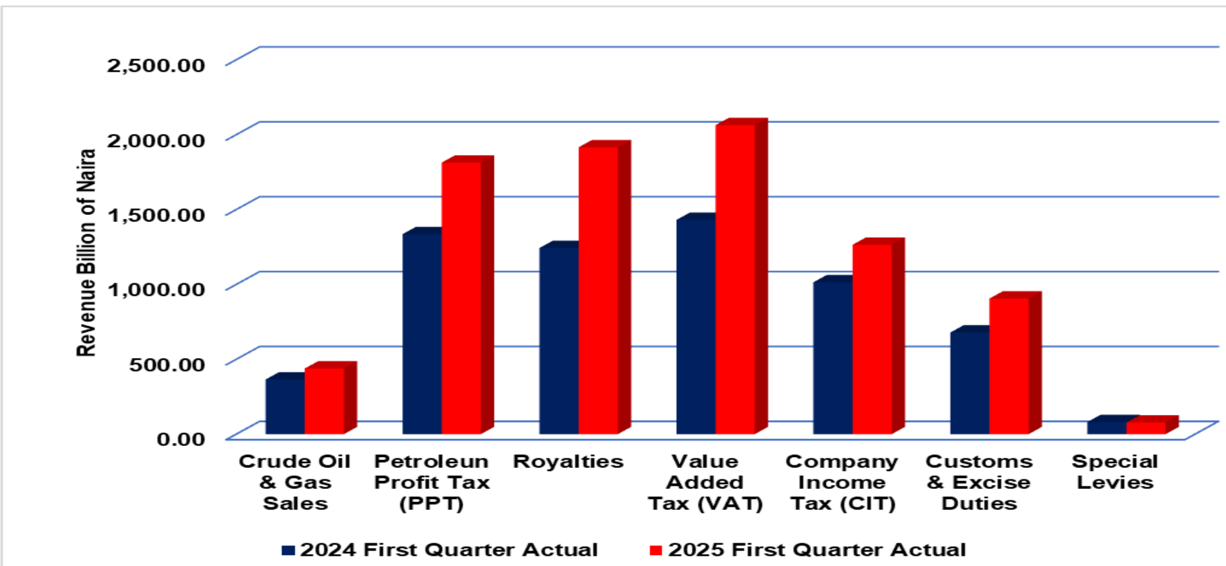
Revenue Items	2024	2025	Variance	
	First Quarter Actual	First Quarter Actual	1st Quarter 2025 Vs 1st Quarter 2024	
Oil Revenue	**N'bns**	**N'bns**	**N'bns**	**%**
Crude Oil Sales	365.22	438.54	73.32	20.07
Petroleun Profit Tax (PPT)	1,335.62	1,813.53	477.91	35.78
Royalties	1,243.45	1,799.98	556.54	44.76
Gross Oil Receipts	3,349.62	4,549.50	1,199.88	35.82
Net Oil Receipts	**2,880.39**	**3,912.23**	1,031.84	35.82
Non-Oil Revenue				
Value Added Tax (VAT)	1,430.92	2,063.96	633.04	44.24
Company Income Tax (CIT)	1,014.31	1,264.74	250.43	24.69
Customs & Excise Duties	678.97	905.69	226.72	33.39
Special Levies	81.10	77.66	-3.44	-4.24
Gross Non-Oil Revenue	3,253.04	4,712.42	1,459.38	44.86
Net Non-Oil Receipts	**3,089.00**	**4,459.89**	**1,370.89**	**44.38**

Source: OAGF and BOF, 2025

3.4.1 Net Oil Revenue

The actual Net Oil Revenue that accrued into the Federation Account in the first quarter of 2025 was ₦3.91 trillion, depicting a decrease of ₦6.97 trillion (64.05 percent) from the prorate quarterly budget estimate of ₦10.88 trillion. The inflow was however ₦0.56 trillion (16.71 percent) and ₦1.03 trillion (35.76 percent) higher than the ₦3.35 trillion and ₦2.88 trillion net oil revenue reported in the fourth and first quarters of 2024 respectively (Table 3.4).

Figure 3.3: 2024 Vs 2025 Revenue Performance (First Quarter)



Source: OAGF and Budget Office of the Federation, 2025

The poor Net Oil Revenue performance in the first quarter of 2025 could be attributed to the lower than projected crude oil revenue outturn, fall in production and lifting as well as poor industry investments in the near past. It is also ascribed to the more than prorated Oil and Gas deductions. These data are presented in Table 3.4

3.5 Non-Oil Revenue Performance

A total of ₦4.39 trillion gross federally collected non-oil revenue was generated in the first quarter of 2025. This indicated a decrease of ₦1.66 trillion (27.45 percent) from the quarterly estimate of ₦6.05 trillion. A breakdown of the non-oil revenue items showed that Value Added Tax of

₦2.06 trillion and Electronic Money Transfer Levy (EMTL) of ₦84.05 billion were higher than the quarterly projection of ₦1.87 trillion and ₦57.50 billion by ₦188.56 billion (10.05 percent) and ₦26.55 billion (46.18 percent) respectively in the review period. On the hand, Company Income Tax of ₦1.26 trillion, Nigerian Police Trust Fund (NPTF) Levy of ₦0.06 billion, Customs & Excise Duties of ₦905.69 billion and Special Levies of ₦77.66 billion performed below their quarterly estimates of ₦2.33 trillion, ₦1.25 billion, ₦1.55 trillion and ₦239.61 billion by ₦1.07 trillion (45.78 percent), ₦1.19 billion (95.20 percent), ₦643.64 billion (41.54 percent) and ₦161.95 billion (67.59 percent) respectively.

The poor performance of some of the non-oil revenue sources could be attributed to lower than projected GDP growth in the period. Non-oil revenue performance is expected to improve in subsequent quarters as measures put in place by the government to stimulate the economy would have started yielding more positive results.

When compared with their corresponding 2024 first quarter figures, with the exception of Special Levies, all other non-oil revenue items were above their respective 2024 first quarter performance. Company Income Tax, Value Added Tax, Electronic Money Transfer Levy (EMTL), Nigerian Police Trust Fund (NPTF), Customs & Excise Duties and FGN Independent Revenue were higher by ₦250.43 billion (24.69 percent), ₦633.04 billion (44.24 percent), ₦36.31 billion (76.06 percent), ₦0.06 billion (100.0 percent), ₦226.72 billion (33.39 percent) and ₦319.28 billion (100.0 percent). Special Levies collection of ₦77.66 billion was below its 2024 first quarter estimates of ₦81.10 billion by ₦3.44 billion (4.24 percent) in the quarter under review.

The enhanced performance of the non-oil revenue items in the first quarter of 2025 as against the 2024 first quarter figures is largely due to the recovering domestic economic activities following measures put in place by the government. The extension of the implementation of the 2024 capital budget and the improved performances of the various revenue generating agencies during the period are also some of the contributing factors that enhance the performance of all non-oil revenue items.

Table 3.4: Distributable Revenue as at March, 2025 (Oil Revenue at Benchmark Assumptions)

`	DESCRIPTION	BUDGET			ACTUAL		VARIANCE	
		2024 Budget	2025 Budget	2025 Quarterly	2024 First Quarter	2025 First Quarter	First Quarter Actual Vs Quarterly Budget	
A	OIL REVENUE	₦b	₦b	₦b	₦b	₦b	₦b	%
1	Gross Profit Oil from Crude Oil & Gas Sales	1,464.38	4,712.76	1,178.19	365.22	438.54	-739.65	(62.78)
2	PPT & Gas Income @ CITA	11,978.49	31,389.24	7,847.31	1,335.62	1,813.53	-6,033.78	(76.89)
3	Oil & Gas Royalties	6,423.62	13,730.18	3,432.55	1,243.45	1,799.98	-1,632.56	(47.56)
4	Concessional Rentals	8.73	4.11	1.03	11.12	15.07	14.04	1,365.22
5	Gas Flared Penalty	0.00	0.00	0.00	82.88	124.87	124.87	
6	Miscellaneous (Pipeline Fees etc)	16.10	23.44	5.86	13.81	15.02	9.16	156.26
7	Incidental Oil Revenue (Royalty Recovery & Marginal Field	105.01	1,183.53	295.88	101.71	332.92	37.04	12.52
8	Exchange Gain	0.00	0.00	0.00	589.10	9.57	9.57	
9	**Sub-Total Oil & Gas Revenue**	**19,996.33**	**51,043.26**	12,760.82	**3,349.62**	**4,549.50**	**-8,211.31**	**(64.35)**
10	13% Derivation	2,599.52	6,635.62	1,658.91	435.45	591.44	-1,067.47	(64.35)
11	**Total Oil & Gas Revenue after Derivation**	**17,396.81**	**44,407.64**	**11,101.91**	**2,914.17**	**3,958.07**	**-7,143.84**	**(64.35)**
12	Deductions							
13	Fiscal Deductions (Base JV Cash Call + EF + MCA + RA)	0.00	0.00	0.00	0.00	0.00	0.00	
14	Other Federally Funded Upstream Projects	136.25	255.47	63.87	0.00	0.00	-63.87	(100.00)
15	NUPRC 2.5% Cost of Collection (Royalty,Concessional,Gas Flared & Miscellanous)	262.99	578.30	144.58	33.78	45.84	-98.74	(68.30)
16	NUPRC 4% CoC with Incidental Rev & Signature Bonus	14.26	47.34	11.84	-	0.00	-11.84	(100.00)
17	**Total Deductions**	**413.50**	**881.12**	**220.28**	**33.78**	**45.84**	**-174.44**	**(79.19)**
18	**Net Oil Revenue**	**16,983.31**	**43,526.52**	**10,881.63**	**2,880.39**	**3,912.23**	**-6,969.40**	**(64.05)**
19	**TO FEDERATION ACCOUNT (*OIL)***	**16,983.31**	**43,526.52**	**10,881.63**	**2,880.39**	**3,912.23**	**-6,969.40**	**(64.05)**
B	**SOLID MINERAL & OTHER MINING REVENUES**							
20	Total Solid Minerals Revenue	10.85	36.88	9.22	3.41	10.10	0.88	9.58
21	Less 13% Derivation	1.41	4.79	1.20	0.44	1.31	0.11	9.58
22	**Net Solid Minerals after Derivation**	**9.44**	**32.09**	**8.02**	**2.97**	**8.79**	**0.77**	**9.58**
C	DIVIDEND PAYMENT (NLNG)	0.00	0.00	**0.00**	0.00	0.00	0.00	
D	**NON-OIL TAX REVENUE**							
23	Corporate Tax	3,256.77	9,329.76	2,332.44	1,014.31	1,264.74	-1,067.70	(45.78)
24	Value-Added Tax	3,954.12	7,501.60	1,875.40	1,430.92	2,063.96	188.56	10.05
25	Electronic Money Transfer Levy (EMTL)	175.11	230.00	57.50	47.74	84.05	26.55	46.18
26	Nigerian Police Trust Fund (NPTF) Levy	0.00	5.00	1.25	0.00	0.06	-1.19	(95.20)
27	Customs: Imports, Excise & Fees	2,868.87	6,197.34	1,549.34	678.97	905.69	-643.64	(41.54)
28	Special Levies (Federation Account)	553.18	958.42	239.61	81.10	77.66	-161.95	(67.59)
29	Exchange Gain / Loss (Non Oil)			0.00	0.00	-3.02	-3.02	
30	**Sub-Total**	**10,808.05**	**24,222.13**	**6,055.53**	**3,253.04**	**4,393.14**	**-1,662.39**	**(27.45)**
31	FIRS Tax Refunds	75.00	123.75	30.94	20.00	0.00	-30.94	(100.00)
32	4% Collection Cost (CIT, Stamp Duties & Capital Gains)	130.27	373.19	93.30	47.89	49.30	-43.99	(47.15)
33	4% Collection Cost (VAT & Surcharge on Luxury Items)	158.16	300.06	75.02	50.60	72.42	-2.60	(3.46)
34	3% Transfer to North East Development Commission (NEDC) from VAT	113.88	216.05	54.01	42.93	61.92	7.91	14.64
35	0.5% Transfer to Nigerian Police Trust Fund from VAT	18.98	36.01	9.00	0.02	0.06	-8.94	(99.33)
37	7% Cost of Collection (Duty, Excise & Fees)	200.82	433.81	108.45	47.53	63.40	-45.06	(41.54)
38	7% Cost of Collection (Spec. Levies -Fed. Acct.)	38.72	67.09	16.77	5.68	5.44	-11.34	(67.59)
39	**TO FEDERATION ACCOUNT (NON-OIL)**	**6,243.44**	**15,524.77**	**3,881.19**	**1,656.25**	**2,138.74**	**-1,742.45**	**(44.89)**
40	Total VAT Pool	3,663.10	6,949.48	1,737.37	1,337.37	1,929.56	192.19	11.06
41	**Net Non-Oil**	**10,230.37**	**22,672.17**	**5,668.04**	**3,089.00**	**4,140.61**	**-1,527.43**	**(26.95)**
42	**TO FEDERATION ACCOUNT (Main Pool)**	**23,226.75**	**60,255.88**	**15,063.97**	**4,536.65**	**6,050.97**	**-9,013.00**	**(59.83)**
E	**TOTAL DISTRIBUTABLE**							
1	Federation Account (Main Pool)	23,226.75	60,255.88	15,063.97	4,536.65	6,050.97	-9,013.00	(59.83)
2	VAT Pool Account	3,663.10	6,949.48	1,737.37	1,337.37	1,929.56	192.19	11.06
3	Electronic Money Transfer Levy (EMTL)	175.11	230.00	57.50	47.74	84.05	26.55	46.18
4	**GRAND TOTAL**	**27,064.96**	**67,435.36**	**16,858.84**	**5,921.76**	**8,064.58**	**-8,794.26**	**(52.16)**

Source: OAGF and BOF, 2025

Table 3.5: Actual Performance of Non-Oil Revenue Categories (First Quarter) 2016-2025

Description	FIRST QUARTER (ACTUAL)										
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	10 - Year Average
	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn	N'bn
Custom & Excise Duties	56.35	131.47	148.54	178.53	212.90	245.64	367.38	355.49	678.97	905.69	328.10
Company Income Tax	82.04	158.95	256.86	297.21	284.03	401.13	762.89	469.20	1,014.31	1,264.74	499.14
Value Added Tax	26.42	222.00	270.06	301.62	324.58	496.39	588.60	709.59	1,430.92	2,063.96	643.41
FGN Independent Revenue	47.52	21.89	72.05	34.59	47.73	391.07	222.73	309.52	318.79	319.28	178.52

Source: OAGF and BOF, 2025

Further analysis of the first quarter non-oil revenue performance shows increasing trend of key non-oil revenue subheads over the years, particularly VAT, CIT and Customs notwithstanding the fluctuations in some years including Independent Revenue which had recorded positive growth in the past three years (Table 3.5 and 3.6).

Table 3.6: Percentage Growth in Non-Oil Revenue Performances (First Quarter) 2017-2025

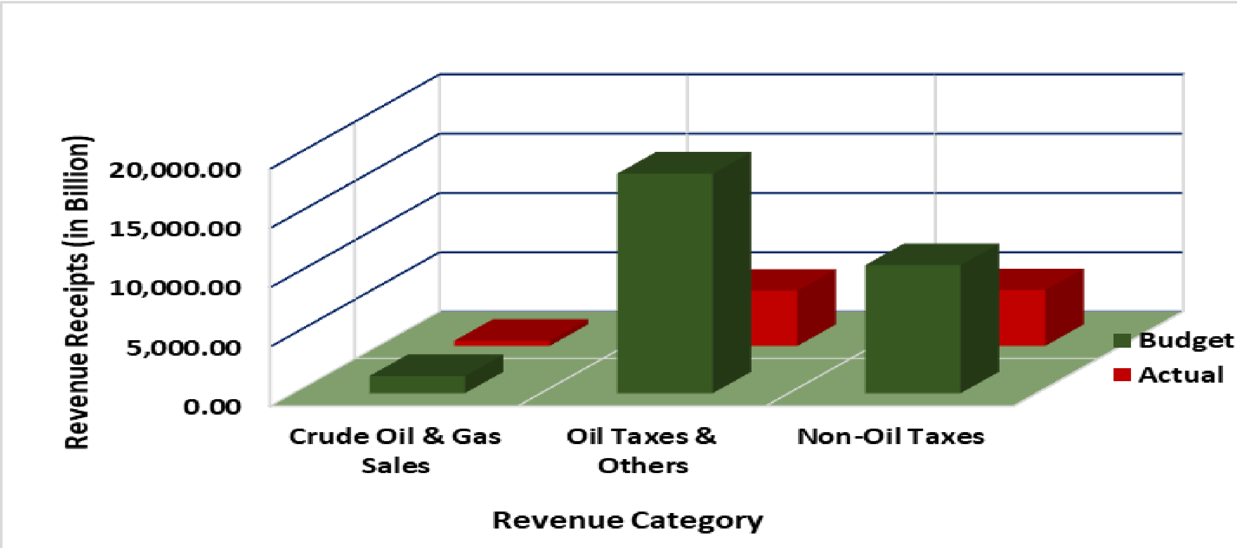
Description	2017	2018	2019	2020	2021	2022	2023	2024	2025	9-Year Average
	%	%	%	%	%	%	%	%	%	%
Custom & Excise Duties	133.31	12.98	20.19	19.25	15.38	49.56	-3.24	91.00	33.39	41.31
Company Income Tax	93.75	61.60	15.71	4.43	41.23	90.19	-38.50	116.18	24.69	45.48
Value Added Tax	740.27	21.65	11.69	7.61	52.93	18.58	20.56	101.65	44.24	113.24
FGN Independent Revenue	-53.94	229.15	-51.99	37.99	719.34	-43.05	38.97	3.00	0.15	97.74

Source: OAGF and BOF, 2025

3.6 Comparative Revenue Performance Analysis

A breakdown of the actual performance of revenue compared with prorate budgeted estimates as at March ending 2025 indicated an underperformance of crude oil & gas revenue while non-oil taxes improved slightly (Figure 3.4).

Figure 3.4: Projected Vs Actual FAAC Revenue Receipts (as at March 2025)



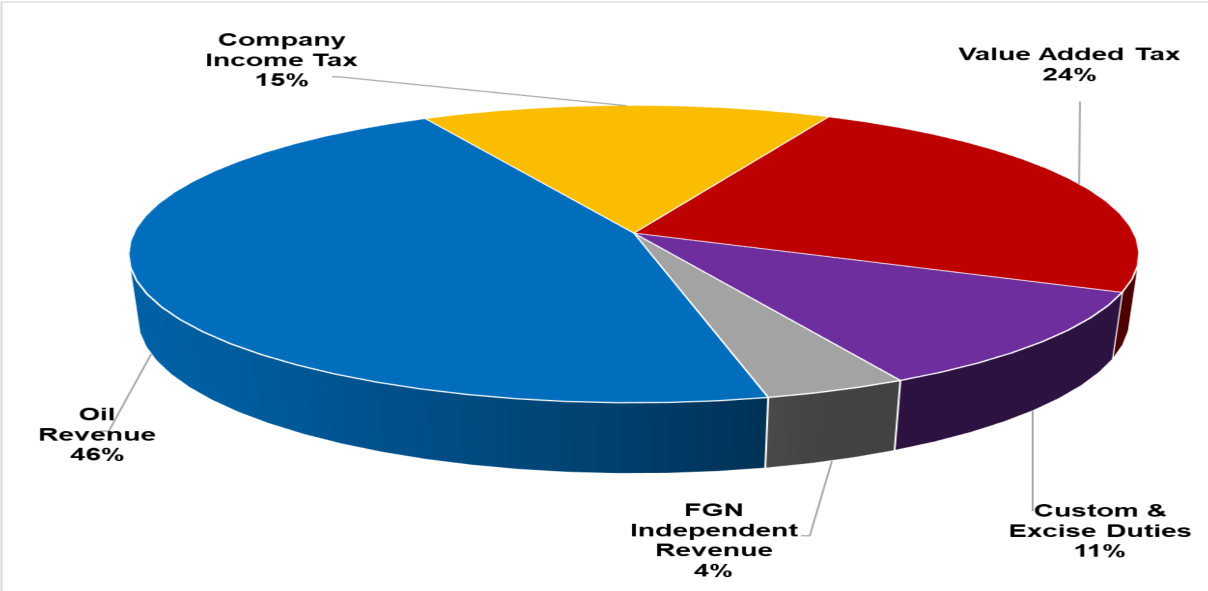
Source: Budget Office of the Federation, 2025

3.7 Distributable Revenue

The net distributable revenue of the Federation stood at ₦8.06 trillion in the first quarter of 2025. This represents a shortfall of ₦8.79 trillion (52.06 percent) from the ₦16.86 trillion quarterly projection for the period. This was attributable to significant reduction in the Federation Account inflow from the oil sector of ₦6.97 trillion (64.05 percent). The non-oil revenue accruing to the Federation Account decreased by ₦1.74 trillion (44.89 percent) over the prorate budget during the review period.

The percentage contribution of the different distributable revenue classifications in the first quarter of 2024 is presented in Figure 3.5. Oil Revenue, VAT, CIT, Customs & Excise Duties and FGN Independent Revenue contributed 46 percent, 24 percent, 15 percent, 11 percent and 4 percent respectively.

Figure 3.5: Contributions to Distributable Revenue (in the 1st Quarter of 2025)



Source: Budget Office of the Federation, 2025

3.8 Excess Crude Account

Analysis of the reports of the Excess Crude Account (ECA) revealed an opening balance of US$0.473 million as at 1st January, 2025. There was no accrued interest on fund investment and no outflow/withdrawal from the account during the period under review. The closing balance as at 31st March, 2025 was US$0.473 million (Table 3.7).

Table 3.7: Net Excess Crude Account

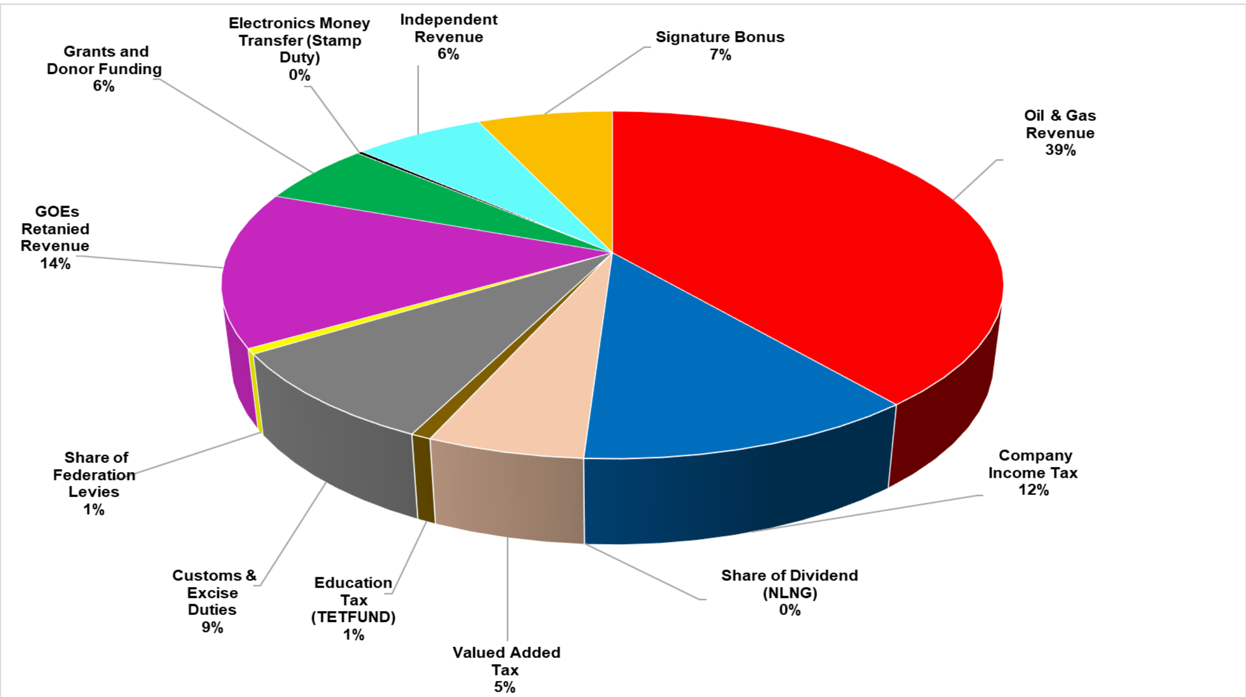
Description	2024 Actual		2025 Actual
	First Quarter	Fourth Quarter	First Quarter
Opening Balance	US$0.000 million	US$0.473 million	US$0.473 million
Inflows			
Accrued Interest on Fund Investment	US$0.000 million	US$0.000 million	US$0.000 million
Total Inflow	**US$0.000 million**	**US$0.000 million**	**US$0.000 million**
Outflows			
Total Outflows	US$0.000 million	US$0.000 million	US$0.000 million
Net Excess Crude Account Closing Balance	**US$0.000 million**	**US$0.473 million**	**US$0.473 million**

Source: OAGF, 2025

3.9 FGN Budget Revenue

Based on the 2025 Budget Framework, the sum of ₦40.89 trillion was projected to fund the Federal Budget, indicating a quarterly share of ₦10.22 trillion. A total of ₦4.95 trillion was received in the first quarter of 2025 reflecting a ₦5.27 trillion (51.53 percent) shortfall from the quarterly projection. It was however ₦1.36 trillion (37.88 percent) higher than the ₦3.59 trillion generated in the first quarter of 2024.

Table 3.6: Contribution to the FGN Budget Revenue in the First Quarter of 2025



Source: The OAGF and BOF, 2025

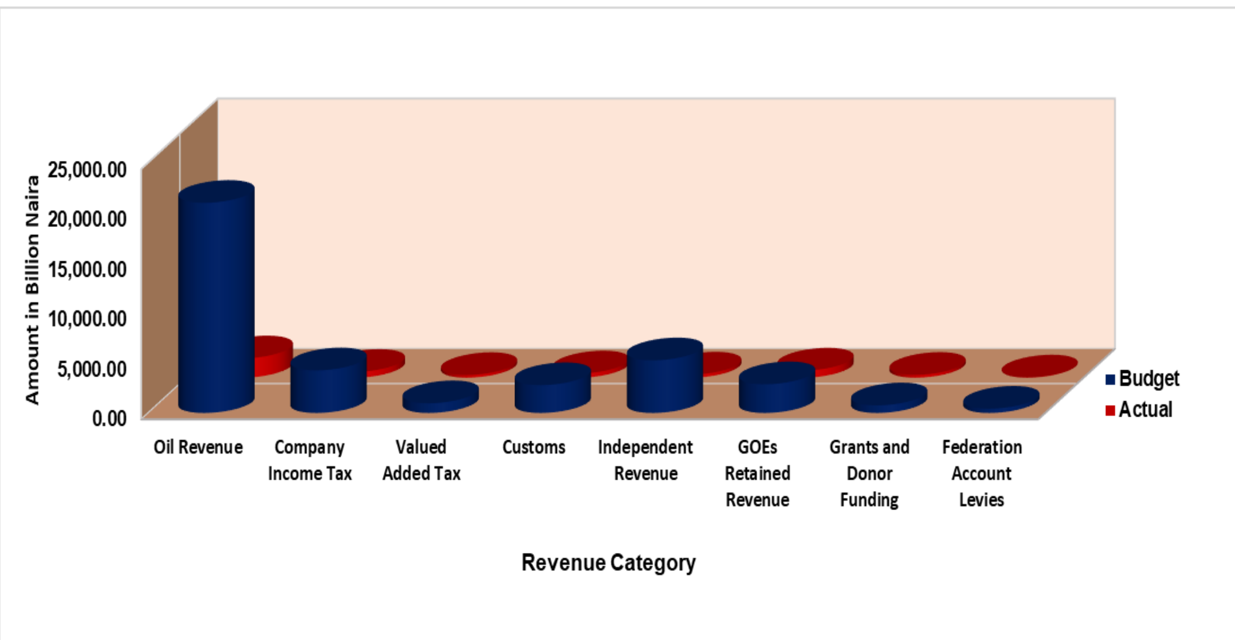
Note: This excludes FGN's Unspent Balances and FGN's Balances in Special Accounts and Other Funding Sources.

The sum of ₦1.94 trillion that was received from oil sources in the first quarter of 2025 was lower than the quarterly estimate of ₦5.25 trillion by ₦3.31 trillion (63.12 percent). Similarly, FGN's share of Company Income Tax of ₦586.54 billion, Customs of ₦430.06 billion, Federation Account Levies of ₦25.34 billion, Nigerian Police Trust Funds (NPTF) Levy of ₦0.06 billion, Independent Revenue of ₦319.28 billion and Education Tax (TETFUND) of

₦35.38 billion were below their corresponding quarterly budget estimates of ₦1.06 trillion, ₦695.33 billion, ₦107.53 billion, ₦0.61 billion, ₦1.31 trillion and ₦247.50 billion by ₦479.09 billion (44.96 percent), ₦265.27 billion (38.15 percent), ₦82.19 billion (76.43 percent), ₦0.55 billion (90.11 percent), ₦996.14 billion (75.73 percent) and ₦212.12 billion (85.70 percent) respectively. Also, a total of ₦717.57 billion was realised as GOEs Retained Revenue in the first quarter of 2025 which was (100.0 percent) of the quarterly projection. Signature Bonus which had zero projection, yielded ₦330.59 billion in the review period.

On the other hand, FGN's share of Minerals & Mining of ₦4.24 billion, VAT of ₦270.14 billion, Electronics Money Transfer (Stamp Duties) of ₦12.54 billion and Grants & Donor Funding of ₦286.00 billion were above their corresponding quarterly estimate of ₦3.87 billion, ₦243.23 billion, ₦8.01 billion and ₦190.48 billion by ₦0.37 billion (9.58 percent), ₦26.91 billion (11.06 percent), ₦4.53 billion (56.62 percent) and ₦95.52 billion (50.15 percent). No inflow was recorded under FGN's share of Dividend, Share of Oil Price Royalty, Draw Down from Special Levies Accounts and Domestic Recoveries in the quarter under review (Table 3.8).

Figure 3.7: FGN Revenue (Budget Vs Actual as at March 2025)



Source: OAGF and BOF, 2025

Table 3.8: Federal Government Revenue Inflows as at March 2025

S/No	ITEMS	BUDGET			ACTUAL		VARIANCE	
		2024 Budget	2025 Budget	2025 Quarterly	2024 First Quarter	2025 First Quarter	First Quarter Actual Vs Quarterly Budget	
	Inflow for the Federal Budget (CRF)	₦b	₦b	₦b	₦b	₦b	₦b	%
1	FGN Share of Oil Revenue	8,176.28	21,004.81	5,251.20	1,390.00	1,936.58	-3,314.62	(63.12)
2	FGN Share of Dividend (NLNG)	357.92	734.93	183.73	0.00	0.00	-183.73	(100.00)
3	FGN Share of Minerals & Mining	4.56	15.49	3.87	1.43	4.24	0.37	9.58
4	FGN Share of Non-Oil	3,569.77	8,867.93	2,216.98	985.07	1,324.69	-892.30	(40.25)
5	FGN Share of Company Income Tax	1,472.58	4,262.50	1,065.62	456.72	586.54	-479.09	(44.96)
6	FGN Share of VAT	512.83	972.93	243.23	186.85	270.14	26.91	11.06
7	FGN Share of Customs	1,287.53	2,781.34	695.33	304.72	430.06	-265.27	(38.15)
8	FGN Share of Federation Account Levies	248.26	430.14	107.53	36.40	25.34	-82.19	(76.43)
9	Nigerian Police Trust Funds (NPTF) Levy	0.00	2.43	0.61	0.00	0.06	-0.55	(90.11)
10	Electronics Money Transfer (Stamp Duty)	24.39	32.04	8.01	7.13	12.54	4.53	56.62
11	Share of Oil Price Royalty	24.17	386.57	96.64	0.00	0.00	-96.64	(100.00)
12	FGN Independent Revenue	2,691.78	5,261.70	1,315.42	318.79	319.28	-996.14	(75.73)
13	Draw-Down from Special Levies Accounts	300.00	300.00	75.00	0.00	0.00	-75.00	(100.00)
14	FGN Share of Signature Bonus	251.46	0.00	0.00	5.39	330.59	330.59	
15	Domestic Recoveries+Assets+Fines	0.00	82.70	20.68	0.00	0.00	-20.68	(100.00)
16	Grants and Donor Funding	685.63	761.91	190.48	642.55	286.00	95.52	50.15
17	Education Tax (TETFUND)	700.00	990.00	247.50	91.51	35.38	-212.12	(85.70)
18	GOEs Retained Revenue	2,861.08	2,870.27	717.57	152.01	717.57	0.00	(0.00)
19	Othe Revenue-Copyright Levy (Customs)			0.00	0.00	0.00		
20	Additioal Revenue (Windfall Tax, Exchange Rate Differential, etc)	6,278.13		0.00	0.00			
21	**FGN RETAINED REVENUES (Excl. GOEs)**	**23,015.52**	**38,019.47**	**9,504.87**	**3,434.75**	**4,236.76**	**-5,268.11**	**(55.43)**
22	**AGGREGATE FEDERAL GOVERNMENT REVENUE**	**25,876.61**	**40,889.74**	**10,222.43**	**3,586.75**	**4,954.33**	**-5,268.11**	**(51.53)**

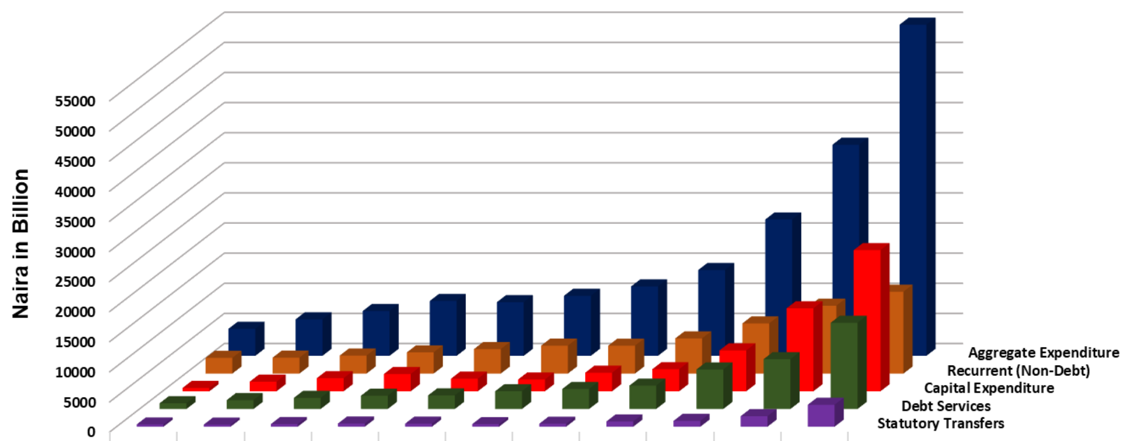
Source: BOF and OAGF, 2025

3.10 Expenditure Developments

A total of ₦54.99 trillion was appropriated for expenditure in the 2025 Budget. This comprises of ₦13.59 trillion (24.71 percent) for Recurrent (Non-Debt), ₦14.32 trillion (26.04 percent) for Recurrent (Debt), ₦3.64 trillion (6.63 percent) for Statutory Transfers and ₦23.44 trillion (42.62 percent) for Capital Expenditure. This translates to prorate quarterly expenditure outlay of ₦13.75 trillion in 2025.

Actual expenditure outflow of ₦8.00 trillion was recorded in the first quarter of 2025, representing a decrease of ₦5.74 trillion (41.83 percent) over the quarterly budget projection for the year.

Figure 3.8: 2015 – 2025 FGN Budget Expenditure Profile



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Statutory Transfers	375.62	351.37	434.41	530.42	502.06	428.03	496.53	869.67	967.49	1,742.79	3,645.76
Debt Services	953.62	1,475.32	1,841.35	2,203.84	2,254.01	2,951.71	3,324.33	3,879.95	6,557.60	8,270.96	14,317.14
Capital Expenditure	557.00	1,587.40	2,174.50	2,869.60	2,094.95	1,960.32	3,079.92	3,664.50	6,792.27	13,773.28	23,439.25
Recurrent (Non-Debt)	2,607.13	2,646.39	2,990.92	3,516.48	4,065.94	4,633.85	4,628.73	5,841.12	8,329.36	11,268.51	13,588.01
Aggregate Expenditure	4,493.36	6,060.48	7,441.18	9,120.33	8,916.96	9,973.92	11,529.51	14,255.24	22,646.72	35,055.54	54,990.17

Source: Budget Office of the Federation, 2025

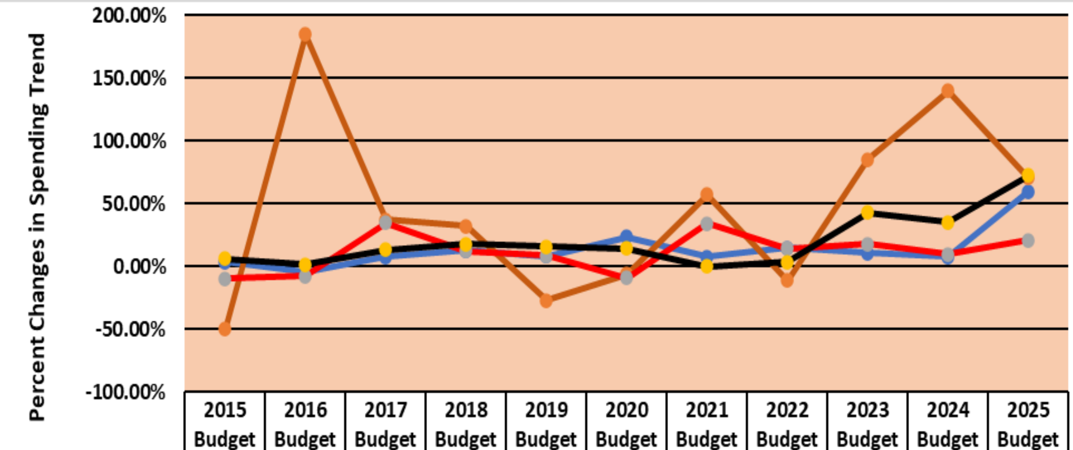
3.10.1 Non-Debt Recurrent Expenditure

The FGN continued to pursue on its goal of reducing the growth in its recurrent expenditure as stated in the 2025-2027 MTEF/FSP. Key initiatives aimed at reducing recurrent costs were therefore pursued vigorously during the period. This includes the embargo on unapproved recruitment by MDAs.

All requests for recruitment and enrolment of staff into the FGN payroll are required to, among others, first seek financial clearance from Budget Office of the Federation. Another is the continuous roll out of the Integrated Payroll and Personnel Information System (IPPIS) to MDAs that are yet to be covered by the scheme as well as the capturing of newly recruited staff.

A total of ₦2.24 trillion was spent on non-debt recurrent expenditure in the first quarter of 2025. This amount reflects a shortfall of ₦1.15 trillion (33.96 percent) from the quarterly estimate of ₦3.40 trillion (details in Table 3.9).

Figure 3.9: Personnel, Overhead and Capital Expenditure Trends (2015 – 2025)



	2015 Budget	2016 Budget	2017 Budget	2018 Budget	2019 Budget	2020 Budget	2021 Budget	2022 Budget	2023 Budget	2024 Budget	2025 Budget
Personnel Cost	3.46%	-4.47%	7.76%	12.43%	8.18%	23.56%	7.74%	14.70%	10.39%	7.67%	59.49%
Capital Spending	-50.25%	184.99%	36.99%	31.97%	-27.00%	-6.43%	57.13%	-11.17%	85.35%	139.58%	70.18%
Overheads	-9.65%	-8.00%	34.55%	12.12%	8.78%	-9.31%	34.01%	14.07%	17.77%	9.84%	20.58%
Recurrent (Non-Debt)	6.20%	1.51%	13.02%	17.57%	15.63%	13.97%	-0.11%	3.53%	42.60%	35.29%	72.22%

Source: BOF and OAGF, 2025

3.10.2 Debt Service

Total Recurrent Debt expenditure in the first quarter of 2025 stood at ₦4.78 trillion representing an increase of ₦1.20 trillion (33.65 percent) above the ₦3.58 trillion prorate projection for the quarter. Domestic debt service payment was above the prorate quarterly budget estimate of ₦1.80 trillion by ₦812.07 billion (45.17 percent) during the period. Actual domestic debt service was ₦2.61 trillion during the quarter under review. The prorate sum of ₦1.69 trillion was planned for external debt service in the first quarter of 2025. Actual external debt service payment however amounted to ₦2.12

trillion indicating an increase of ₦436.07 billion (25.85 percent) from the quarterly projection.

3.10.3 Personnel & Overhead Cost

The sum of ₦7.60 trillion was appropriated for MDAs Personnel Cost in the 2025 Budget. This translates to prorate quarterly expenditure outlay of ₦1.90 trillion in 2025. Actual expenditure of ₦1.57 trillion was released in the first quarter of 2025, translating to ₦330.08 billion (17.38 percent) below the quarterly projection for the year. A total of ₦13.49 billion was released as overhead cost in the first quarter of 2025 which was ₦290.59 billion (95.56 percent) below the quarterly projection of ₦304.08 billion. A total ₦1.22 trillion was allocated to overhead spending in the 2025 Budget.

3.10.4 Statutory Transfers

A total of ₦445.04 billion was released as Statutory Transfers in the first quarter of 2025 which was (51.17 percent) of the quarterly projection. It is important to note that quarterly releases to beneficiaries under this subhead are determined by budgetary provisions, needs and availability of funds.

3.10.5 Capital Expenditure Performance

Government's available financial resources were also directed at structural reform of the economy and the provision of critical infrastructure in the roads, power, housing, rail and aviation sectors as well as the provision of physical and food security. In view of this, a total of ₦23.44 trillion (including capital expenditure of Statutory Transfers, GOEs and project tied loans) was allocated to capital spending in the 2025 Budget. A total of ₦525.54 billion was released as capital expenditure in the first quarter of 2025 which was ₦5.33 trillion (91.03 percent) below the quarterly projection of ₦5.86 trillion.

The detailed breakdown of expenditure in the first quarter of 2025 is presented in Table 3.9

Table 3.9: FGN Budget Expenditure and Fiscal Account (in N' Billion) as at March 2025

ITEMS	BUDGET			ACTUAL		VARIANCE	
	2024 Budget	2025 Budget	2025 Quarterly	2024 First Quarter	2025 First Quarter	2025 First Quarter Actual Vs Quarterly Budget	
	₦b	₦b	₦b	₦b	₦b	₦b	%
AGGREGATE FEDERAL GOVERNMENT REVENUE	**25,876.61**	**40,889.74**	**10,222.43**	**3,586.75**	**4,954.33**	**-5,268.11**	**-51.53**
EXPENDITURE:							
RECURRENT NON-DEBT:							
Personnel Cost (MDAs)	4,792.05	7,595.67	1,898.92	1,145.19	1,568.83	-330.08	-17.38
Personnel Cost (GOEs)	608.41	1,017.41	254.35	104.51	254.35	0.00	0.00
Pensions & Gratuities including Service Wide Pension	673.13	1,444.02	361.00	112.20	161.60	-199.40	-55.24
Overhead Cost (MDAs)	773.13	1,216.34	304.08	212.94	13.49	-290.59	-95.56
Overhead Cost (GOEs)	451.20	892.20	223.05	94.10	223.05	0.00	0.00
Other Service Wide Votes	3,770.55	1,057.87	264.47	209.61	0.00	-264.47	-100.00
Presidential Amnesty Programme	65.00	115.00	28.75	16.25	20.98	-7.77	-27.03
Tetfund-Recurrent	35.00	49.50	12.38	0.00	1.06	-11.31	-91.42
Special Intervention Programme	200.00	200.00	50.00	0.00	0.00	-50.00	-100.00
Sub-Total (Non-Debt)	**11,268.51**	**13,588.01**	**3,397.00**	**1,894.80**	**2,243.37**	**-1,153.63**	**-33.96**
Domestic Debts	5,299.70	7,191.20	1,797.80	989.24	2,609.86	812.07	45.17
Foreign Debts	2,747.60	6,748.65	1,687.16	1,277.27	2,123.24	436.07	25.85
Sub-Total Debt Service	**8,047.30**	**13,939.84**	**3,484.96**	**2,266.52**	**4,733.10**	**1,248.14**	**35.82**
Interest on FGN Bond for securitized Ways & Means	0.00	0.00	0.00	3.05	0.00	0.00	
Sinking Fund	223.66	377.30	94.32	0.00	50.57	-43.76	-46.39
Total Debts	**8,270.96**	**14,317.14**	**3,579.29**	**2,269.56**	**4,783.67**	**1,204.38**	**33.65**
Total Recurrent Expenditure	**19,539.47**	**27,905.15**	**6,976.29**	**4,164.36**	**7,027.04**	**50.75**	**0.73**
CAPITAL EXPENDITURE							
Capital Expenditure (MDAs and Others)	11,214.82	18,532.16	4,633.04	450.13	34.32	-4,598.72	-99.26
Capital Expenditure (GOEs)	820.91	820.91	205.23	35.74	205.23	0.00	0.00
Multi-lateral/Bilateral Project-Tied Loans	1,051.91	3,364.28	841.07	0.00	0.00	-841.07	-100.00
Grants and Donor Funded Projects	685.63	721.91	180.48	642.55	286.00	105.52	58.47
Total Capital Expenditure	**13,773.28**	**23,439.25**	**5,859.81**	**1,128.42**	**525.54**	**-5,334.27**	**-91.03**
TRANSFERS							
Statutory Transfers	**1,742.79**	**3,645.76**	911.44	435.70	445.04	-466.40	-51.17
TOTAL FGN EXPENDITURE (Excl. GEOs & Project-tied Loans)	**32,123.10**	**48,895.36**	**12,223.84**	**5,494.12**	**7,314.99**	**-4,908.85**	**-40.16**
AGGREGATE FGN EXPENDITURE	**35,055.54**	**54,990.17**	**13,747.54**	**5,728.47**	**7,997.62**	**-5,749.92**	**-41.83**
Fiscal Deficit (Excl. GEOs & Project-tied Loans)	-9,178.93	-14,100.41	-3,525.10	-1,471.68	-3,043.30	481.81	-13.67
FINANCING ITEMS							
Privitization Proceeds	298.49	312.33	78.08	0.00	57.16	-20.92	-26.79
Multi-lateral / Bi-lateral Project-tied Loans	1,051.91	3,364.00	841.00	0.00	70.11	-770.89	-91.66
Foreign Borrowing	1,767.61	1,843.67	460.92	0.00	0.00	-460.92	-100.00
Domestic Borrowing	6,060.92	8,580.14	2,145.04	1,471.68	3,300.00	1,154.96	53.84
Total	**9,178.93**	**14,100.14**	**3,525.04**	**1,471.68**	**3,427.27**	**-97.76**	**-2.77**
Deficit Financing (+/-)	**0.00**	**-0.27**	**-0.07**	**0.00**	**383.98**	**384.04**	

Source: OAGF and Budget Office of the Federation, 2025

MDAs' Capital Vote Utilization

The release of funds to the MDAs for capital expenditure in the first quarter of 2025 was done based on the "Bottom-up Cash Plan" arrangement introduced with effect from 2023, the availability of resources, and government priorities. The sum of ₦34.32 billion was released to MDAs and cash-backed for their 2025 capital projects and programmes.

Performance as at 31st March, 2025

The utilization as at 31st March, 2025 was still very low due to the fact that some MDAs were still implementing their 2024 capital budget which was allowed to run till 31st December, 2025. It is expected that the utilization rates as well as releases will continue to increase in the subsequent quarters of the year.

3.10.5 Budget Deficit and Performance of the Financing Items

In the 2025 Fiscal Framework, quarterly fiscal deficit is estimated at ₦3.52 trillion (excluding GOEs and Multi-lateral/Bi-lateral Project-tied Loan of ₦841.00 billion). The quarterly deficit is expected to be financed through earnings from Privatization Proceeds of ₦78.08 billion, Foreign Borrowing of ₦460.92 billion and Domestic Borrowing (FGN Bond) of ₦2.14 trillion.

The inflow and outflow of funds for the Federal Government resulted in a fiscal deficit of ₦3.04 trillion in the first quarter of 2025. This represents a decrease in deficit to the tune of ₦97.76 billion (2.77 percent) of the projected deficit for the period. However, the deficit was financed through privatization proceeds of ₦57.16 billion, Multi-lateral/Bi-lateral Project-tied Loan of ₦70.11 billion and domestic borrowing through FGN Bond of ₦3.30 trillion. The deficit financed amounted to ₦3.43 trillion in the review period.

4.0 CONCLUSION

The macroeconomic conditions in the review period were redefined by the heightening downside risks to global economic recovery. The Nigerian economy grew by 3.13 percent in the first quarter of 2025 with the oil sector recording 1.87 percent growth (year-on-year) in real terms. This indicates a decrease of 2.85 percentage points when compared with the correspondence quarter of 2024 (4.71 percent) while the non-oil sector recorded a real growth of 3.19 percent. The non-oil sector contributed significantly to the growth of the economy and was mainly driven by Information and Communication; Trade; Transportation; Financial and Insurance; Agriculture and Real Estate.

The Federal Government continued to prioritize and meet its non-discretionary expenditure requirements even as the budget execution continued to be affected by poor, though improving, revenue outcomes. The performance of the economy during the quarter was commendable considering developments in the global economy and the performance of many other economies.

Nonetheless, Government would continue to fast-track efforts towards improving the economic growth and revenue generation performance. Improving revenue collections in the subsequent quarters of the year is critical to the successful execution of the 2025 Budget. Efforts to curb the growth in recurrent expenditure and particularly personnel expenditure in 2025 and beyond is important even as effective implementation of measures to address the security challenges continue to be a priority.

The Federal Government remains committed to the goals of improved openness, transparency and accountability in budget preparation, implementation, monitoring and evaluation and feedback. In view of this, Government will continue to ensure firm adherence to budget implementation guidelines and the governance framework on monitoring of capital budget implementation. Efforts would also be geared towards promoting efficiency in budget implementation, while guaranteeing effective project management in the succeeding quarter of 2025 and beyond.